EOCL

2010 ANNUAL REPORT

EOC LIMITED

CONSTRUCTING GROWTH
PRODUCING RESULTS

EOC LIMITED

A LEADING PROVIDER OF FLOATING PRODUCTION SOLUTIONS AND OFFSHORE CONSTRUCTION SUPPORT SERVICES BASED IN ASIA.

2010 ANNUAL REPORT

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COMPANY PROFILE

Lewek Champion performing a topside lift

EOC Limited ("EOC", "Group" or "Company"), is a leading owner and operator of floating production, storage and offloading vessels ("FPSO") and an offshore construction services and installation services contractor based in Singapore. We add value throughout the life-cycle of offshore oil & gas activities from exploration to facility development, production, operations, maintenance and abandonment. We have operated in and have continued operations in Brunei, India, Indonesia, Malaysia, the Middle East, the Philippines, and Thailand in 2 focused business segments, namely:

- Offshore Construction ("Construction")
- Offshore Production ("Production")

The Construction segment undertakes activities such as:

- Pipelaying, Heavylift, Offshore Transportation and Installation
- Hook-Up and Commissioning
- Offshore Accommodation services and Marine Support services

The Production segment undertakes activities such as:

- Provision of Floating Production, Storage, and Offloading systems
- Provision of Floating Storage, and Offloading systems(FSO)
- Engineering, Procurement, and Project Management of FPSO and FSO Mooring systems

EOC, incorporated in February 2007, is a spin-off from Ezra Holdings Limited ("Ezra" or "Ezra Group"), a leading Singapore-based offshore support vessel operator in Asia Pacific. 47.3% owned by Ezra, EOC is headquartered in Singapore and is the owner of three construction and accommodation units (including one with heavylift and pipelaying capability), and one FPSO. EOC is also a co-owner of a second FPSO currently under conversion for deployment in Vietnam. It has well-established client relationships including long-term contracts with super-majors, national oil companies and independent operators.

This unique integration of engineering, offshore construction, operation of FPSOs and marine support vessels differentiates EOC from its competitors. By offering synergies and cost-effective solutions throughout the field development life-cycle, EOC is able to competitively position itself as an integrated solutions provider for the offshore energy sector.

WE ADD VALUE

THROUGHOUT THE LIFE CYCLE OF OIL & GAS PRODUCTION ACTIVITIES, FROM EXPLORATION, THROUGH FACILITY DEVELOPMENT, PRODUCTION, OPERATIONS, MAINTENANCE AND ABANDONMENT.

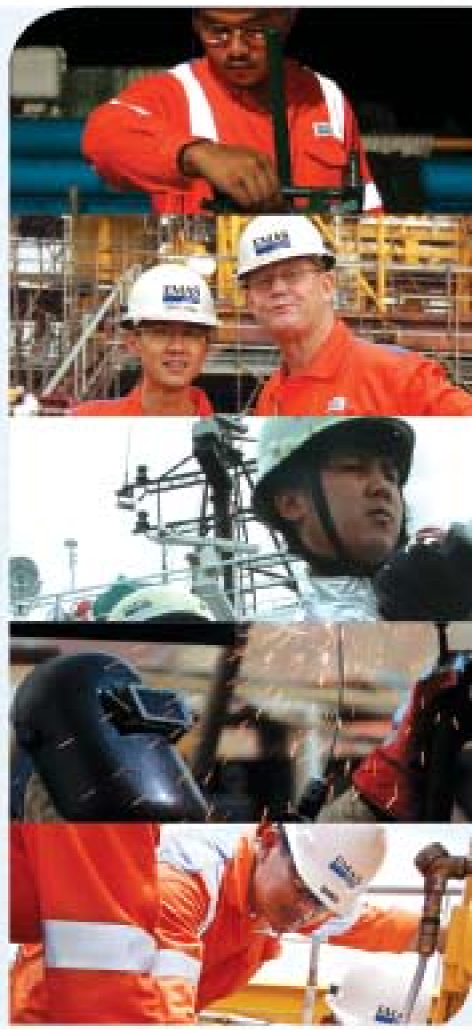
OUR MISSION

TO BE A LEADING OFFSHORE CONSTRUCTION CONTRACTOR AND PROVIDER OF FLOATING PRODUCTION SOLUTIONS. WE ACHIEVE THIS BY BEING RESPONSIVE TO OUR CLIENTS' NEEDS, OPERATIONAL EXCELLENCE, WHILE MAKING HEALTH, SAFETY, AND ENVIRONMENT A TOP PRIORITY.

OUR CORE VALUES

OUR CORE VALUES ARE THE GUIDING PRINCIPLES UNDER WHICH WE CONDUCT OUR BUSINESS. CUSTOMERS, EMPLOYEES, BUSINESS PARTNERS AND SHAREHOLDERS CAN BE ASSURED THAT THESE CORE VALUES UNDERPIN EVERYTHING THAT EOC DOES.

Lewek Arunothai



INTEGRITY

Every employee of EOC Limited will act with the highest level of business ethics. We act openly and with honesty. We comply with local rules and regulations.

MUTUAL RESPECT & FAIRNESS

We value relationships and seek to build strong ties with our customers, stakeholders, suppliers and among our colleagues.

HEALTH, SAFETY & ENVIRONMENT ("HSE")

We manage HSE as a core business activity. We expect everyone to be a safety leader.

OPERATIONAL EXCELLENCE

We strive to achieve 'On time, On budget' targets, without compromising operability and safety standards. We empower people without micromanagement to do the job. We seek to recognise commitment and passion for excellence in work always.

TEAMWORK

We work together to achieve team glory. We think "win-win" always for our clients, partners and colleagues.

FINANCIAL HIGHLIGHTS

	FY2008	FY2009	FY2010
REVENUE (US$'000)	109,996	71,655	113,333
EBIT (US$'000)	35,234	26,182	30,041
EBITDA (US$'000)	42,653	34,230	53,430
EPS (US CENTS)	22.79	19.04	18.70

NET CASH FLOW
FROM OPERATIONS ('000)

FY2008	FY2009	FY2010
US$16,202	US$33,859	US$28,164

Deck view of Lewek Arunothai

REVENUE
('000)

FY2008
US$109,996

FY2009
US$71,655

FY2010
US$113,333

Above: Lewek Arunothai en route to the Gulf of Thailand
Facing page: Jacket installation in progress

STATEMENT OF COMPREHENSIVE INCOME

The discussions below refer to the performance of the Group for the financial year ended 31 August 2010 and 31 August 2009.

REVENUE

Revenue increased by US$41.6 million from US$71.7 million in FY2009 to US$113.3 million in FY2010. The increase in revenue in FY2010 was mainly due to the contribution of revenue from Lewek Arunothai of US$62.5 million. This was partially offset by lower utilisation days of Lewek Champion and Lewek Chancellor during the financial year.

GROSS PROFIT

The increase in gross profit of the Group from US$38.6 million to US$40.9 million in FY2010 was in line with the increase in revenue of the Group. Gross profit margin decreased from 53.8% in FY2009 to 36.1% in FY2010 due to changes in the contribution mix from the operation of Lewek Arunothai and lower margin earned by Lewek Champion during the financial year.

OTHER OPERATING INCOME AND OTHER OPERATING EXPENSE

Other operating income increased from US$50,000 in FY2009 to US$841,000 in FY2010 was mainly due to management fees charged to an associate. Other operating expenses remain relatively stable.

ADMINISTRATIVE EXPENSES

Administrative expenses remain relatively stable at US$10 million.

FINANCE INCOME

Finance income mainly relates to interest income derived from loan to an associate, cash and fixed deposit accounts placed with the banks. Finance income increased from US$0.6 million in FY2009 to US$1.5 million in FY2010, mainly due to interest income from an associate.

FINANCE COSTS

Finance costs largely relate to interest incurred on bank loans. The increase in finance costs from US$5.3 million in FY2009 to US$9.2 million in FY2010 is mainly due to the commencement of operations of Lewek Arunothai in which the interest previously capitalised is now being expensed.

INCOME TAX

Income tax expense in FY2010 pertained to the amount paid/expected to be paid to the respective taxation authorities in different jurisdiction. The Group has exposure to income taxes in numerous jurisdictions. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the end of the reporting periods.

STATEMENT OF FINANCIAL POSITION

The discussions below refer to the financial condition of the Group as at 31 August 2010 and 31 August 2009.

TOTAL ASSETS

Total assets for the Group as at 31 August 2010 and 31 August 2009 amounted to US$653.6 million and US$598.8 million respectively. The increase in total assets was mainly due to

(i) investment in associates, other receivables, deposits and prepayments for advance purchase of equipment and services relating to the Group's new FPSO project in Vietnam; and
(ii) additional capital expenditure incurred in respect of Lewek Arunothai.

Correspondingly, the total liabilities also increased as a result of additional financing from banks to undertake the Group's new FPSO project in Vietnam.

Lewek Arunothai working with Lewek Toucan (Ezra's vessel) in the Arthit Field

"IN FY11, THE GROUP WILL FOCUS ON KEEPING ITS FLEET BUSY FULFILLING EXISTING CONTRACTS AS WELL AS CHASING PROJECTS IN NEW TARGET MARKETS LIKE AFRICA, THE MEDITERRANEAN, AND THE AMERICAS."

—CHIEF EXECUTIVE OFFICER, MR LIM KWEE KEONG

CORPORATE MILESTONES

NOV

November 2009: Lewek Chancellor is awarded a contract to provide offshore installation, accommodation and maintenance support services for a independent energy company, based in the United Kingdom, and operating off the west coast of India.

DEC

December 2009: EOC awarded Keppel Shipyard Limited a S$104M Contract to convert a FPSO that will be deployed for the Chim Sao Development in Vietnam. The vessel is expected of have an output of up to 50,000 barrels a day and First Oil is expected in mid-2011.

JAN

EOC's subsidiary signed a cooperative agreement with PetroVietnam Transportation Corporation to provide operation and maintenance services for the Chim Sao FPSO. This venture is expected to generate up to approximate US$179M in revenue for the joint venture company.

FEB

EOC forms Joint Venture with strategic partners to execute Chim Sao Project in Vietnam. The contract with all options exercised is expected to generate in excess of US$1BN in revenue collectively for the stakeholders.

JUL

Lewek Chancellor is awarded a contract to provide accommodation support for a joint venture between a Malaysian oil major and a Thai petroleum exploration and production company. This contract was subsequently extended to November 2010 from September 2010.

Lewek Champion is awarded a contract to provide structural heavylift, pipelay and subsea construction services to a major independent in Malaysia. The total value of the contracts from both barges is US$20M.

AUG

The FPSO division secured the first ever US dollar offshore loan from Vietnamese banks for the Chim Sao project, marking the distinction of the first US dollar overseas bank loan to be approved by the State Bank of Vietnam.

LETTER FROM THE CEO

DEAR SHAREHOLDERS,

FY2010 has been a turning point in the metamorphosis of EOC from its infancy in 2007, through its formative years during turbulent market conditions, to being recognised by clients and peers as a reliable and capable provider of offshore construction services and FPSOs. To date, we have laid over 300 kilometers of pipelines, 36 subsea construction projects, numerous heavylift operations and platform installations, and provided 125,000 man-days of activity completely free of Health, Safety and Environmental incidents. This is an achievement which all at EOC can be proud of.

In 2006, EOC accepted the challenge to provide one of the world's largest gas FPSOs, Lewek Arunothai, for PTT Exploration and Production Public Company Limited's North Arthit Development. I am glad to inform that Lewek Arunothai has completed her maiden year of operations during FY2010. She has contributed positively to our financial performance and her reliability and cost-effectiveness have generated interests amongst other oil companies with similar commercially-viable gas fields or operators who are not allowed to continue flaring gas due to environmental regulations. Having gained a track record in operating a gas FPSO puts EOC in an excellent position to capture these opportunities.

The FPSO for Premier Oil's Chim Sao development is over 80% complete and I look forward to its delivery within budget and on schedule in mid-2011.

The Group's results were complimented by the full deployment of our vessels in the last financial quarter. FY2010 was back-end loaded and we recorded growth in revenue of 58% year-on-year, despite market conditions that set an exigent year for EOC. Escalated costs resulted in the decline of our margins, but this was significantly mitigated with the stepping up of our operating activities. We generated a net cash flow of US$28.2 mil from operations, producing an expected bottomline of US$20.8mil. With an alignment of operations ramping up positively and expected ease in cost levels, we expect net profit to remain robust in FY11.

Since the last reporting period, the oil price has been kind to field operators, service contractors and consumers alike and I see this stability continue in the medium term. Increase in capital expenditure for exploration and production from oil companies is expected with the stabilising of oil prices as well which could potentially lead to a increase in demand for post-exploration activities. This favourable condition allows EOC to explore business opportunities beyond our traditional target markets. We have injected new blood into both the executive management and senior management team to drive EOC's growth ambitions and to ensure executional excellence.

I would like to recognise the dedication and professionalism of my team at EOC who has striven to ensure EOC achieves a good set of financial results under difficult market conditions. I also like to thank you, our shareholders, our clients, business partners and financiers who have supported us and have taken a long term view and interest in the tremendous potential of this industry and EOC.

MR LIM KWEE KEONG
CHIEF EXECUTIVE OFFICER

MR LIM KWEE KEONG
CHIEF EXECUTIVE OFFICER

"WITH AN ALIGNMENT OF OPERATIONS RAMPING UP POSITIVELY AND EXPECTED EASE IN COST LEVELS, WE EXPECT NET PROFIT TO REMAIN ROBUST IN FY11."

—CHIEF EXECUTIVE OFFICER, MR LIM KWEE KEONG

BOARD OF DIRECTORS

MR LEE KIAN SOO
CHAIRMAN

Aged 65. Mr Lee is one of the founding members of the Ezra Group and has more than 30 years of experience in the shipping and offshore support services industry. He has been responsible for the strategic planning, business development and marketing of the Ezra Group since its inception in 1992. Prior to this, Mr Lee held various positions in Jurong Shipyard, Sembawang Shipyard and the Offshore Supply Association.

Mr Lee holds a Second Mate Certificate of Competency. Mr Lee is a Singapore citizen, and resides in Singapore. Mr Lee Kian Soo has a familial relationship as the father of Mr Lee Chye Tek Lionel.

MR LEE CHYE TEK LIONEL
VICE-CHAIRMAN

Aged 37. Mr Lee is currently the Managing Director of the Ezra Group. He spear-headed the dynamic growth and public listing of the Ezra Group and continues to bring about advancements in the core competencies of the various entities under the Ezra Group to keep upwith the evergreen competition from the industry.

He has more than ten years of experience in the offshore industry and holds a graduate Diploma in Business Administration from Western Sydney International College. Mr Lee is a Singapore citizen and resides in Singapore. Mr Lee Chye Tek Lionel has a familial relationship as the son of Mr Lee Kian Soo.

MR CUTHBERT (CHAS) I.J CHARLES

Aged 68. Mr Charles is a Chartered Mechanical Engineer (London) and a Fellow of the Institution of Mechanical Engineers, London.

He has over 35 years of experience in the oil & gas (upstream) industry, having worked in the United Kingdom, United States, Singapore and India. He was the Regional Vice President for Halliburton for Asia Pacific from 2001 to 2005 based in Singapore, and the Vice President for Halliburton in India prior to his departure in 2008.

DR WANG KAI YUEN

Aged 63. Dr Wang retired as the Managing Director of Fuji Xerox Singapore Software Centre in Dec 2009, and was formerly a Member of Parliament for Bukit Timah Single Member Constituency. He is the Chairman of Xpress Holdings Ltd, Asian Micro Holdings Ltd, and HLH Group Limited. He is the Deputy Chairman of the Board of China Aviation Oil (Singapore) Ltd.

Dr Wang is familiar with the United States and Asian cultures, international business practices, corporate finance, and corporate governance. He holds a Bachelor of Engineering (Electrical Engineering) (Hons) from the University of Singapore, a Masters of Science (Industrial Engineering), a Masters of Science (Electrical Engineering), and a PhD (Electrical Engineering) from Stanford University.

MR MICHAEL LAI KAI JIN

Aged 41. Mr Lai was formerly a partner of M/s KhattarWong, one of Singapore's largest full services law firm, where he headed up the International Trade and Shipping department. He has more than 15 years of experience handling legal disputes arising out of international trade and transport with particular emphasis on marine insurance, shipping, and admiralty law. Mr Lai was the immediate past Chairman of the Advisory Body Legal Matters, FIATA, and was also the appointed Legal Counsel for the Singapore Logistics Association for more than 10 years. He currently sits on the board of various listed companies including Pan Asia Mining Limited (listed on the Hong Kong Exchange), and Select Group Limited (listed on Singapore Exchange).

EXECUTIVE MANAGEMENT

MR LIM KWEE KEONG
CHIEF EXECUTIVE OFFICER

Aged 49. Mr Lim is responsible for the overall management and operation of the Group, including the formulation and implementation of its business strategies and policies, marketing and growth.

Mr Lim is a qualified mechanical engineer with 24 years of experience in the offshore oil & gas industry spread across the UK, Australia and Asia Pacific. Mr Lim has been the Executive Director at Emas Offshore Construction and Production Pte Ltd since December 2006. Prior to joining, he was at Kellogg Brown & Root for 20 years and his last held position was Asia Pacific Sales Director.

MR CHAN ENG YEW
CHIEF FINANCIAL OFFICER

Aged 37. Mr Chan is responsible for EOC's overall financial operations and also heads the Group's investor relations and corporate services divisions. Before spearheading EOC's listing on the Oslo Bors in October 2007, Mr Chan was the Assistant General Manager (Marketing and Corporate Finance) at Ezra Holdings Limited where he helped to initiate and oversee several of the company's financing deals since its IPO in August 2003. Mr Chan has more than 8 years of experience in commercial and corporate banking, having held several positions at United Overseas Bank Limited. He holds an MBA from the University of Louisville, Kentucky and Masters in Applied Finance from Macquarie University.

MR PHILLIPUS GEERLING
CHIEF OPERATING OFFICER
(RETIRED 19 SEPTEMBER 2010)

Aged 66. Mr Geerling has responsibilities that include business development, forming and the maintenance of strategic partnerships, as well as monitoring and implementation of the Group's strategic goals.

Mr Geerling has been an Associate Director of Emas Offshore Construction and Production Pte Ltd since March 2006. He is a qualified foreign sea-going Master as well as a Salvage Master with 40 years of experience in the marine and offshore and oil & gas industry. He has worked with Smit, Rockwater, Nortrans and Prosafe for 31 years. He has managed the conversion and operations of 10 FPSOs / FSOs.

MR DOMINIC KOAY SENG KEONG
CHIEF COMMERCIAL OFFICER

Aged 37. Mr Koay is responsible for the overall monitoring of the various commercial aspects of the Group and also capital equipment sourcing and strategic procurements for the Group's assets and projects.

Prior to joining EOC, Mr Koay was the General Manager of Ezra Holdings Limited and has a hand in overseeing its business development, operations, sales and marketing, engineering and marine supply services. He has more than 10 years of experience in commercial and procurement activities within the marine industry.

MR ASLE BJØRNSTAD
CHIEF OPERATIONS OFFICER
(COVERING AS OF 1 OCT 2010)

Aged 49. Mr Bjørnstad's main responsibilities include business development, marketing, as well as monitoring and implementation of the Group's strategic goals.

Mr Bjørnstad has over 22 years of experience in the offshore oil & gas sector and is equipped with commercial and project management expertise, especially in the FPSO sector. Prior to joining, he has held various senior managerial positions in business development, project management and marketing in companies such as Aker Engineering A.S, Aker Floating Production ASA, and Fred Olsen Production ASA. He has also held senior management positions in 12 FPSO/FSO/MOPU projects. Mr Bjørnstad holds an MBA from University of Strathclyde, Glasgow as well as a Bachelor of Science (Hons) in Mechanical Engineering from University of Glasgow.

KEY PERSONNEL

MR WONG CHAI VEI
GROUP FINANCIAL CONTROLLER

Aged 39. Mr Wong is responsible for all accounting, financial and taxation matters for the Group. He was formerly the Group Financial Controller for Ezra Holdings Limited and was intimately involved in the preparation of its Initial Public Offering.

He has more than 15 years of experience in the accountancy profession, having served as Senior Auditor and Audit Manager with Arthur Andersen in Kuala Lumpur and Singapore respectively. He holds a Bachelor Degree in Accountancy from University of Malaya. Mr Wong is also a member of The Malaysian Institute of Certified Public Accountants and Malaysian Institute of Accountants.

MR TEO CHOR PING
CONSTRUCTION DIVISION MANAGER

Aged 43. Mr Teo is responsible for the functional administration of the Construction Division. Main duties would include commercial pricing for bids, administration of project management teams, and successful execution of construction projects.

Mr Teo is a qualified civil and structural engineer with over 18 years of experience in the offshore oil & gas industry. Previous involvements included various offshore construction & installation projects with national & major oil companies in South East Asia, China, Korea, Australia, etc. He was previously with J. Ray McDermott for 15 years.

Left: Chim Sao FPSO undergoing conversion works

Right: Preparation for pipelay on the Lewek Champion

MR KENNETH FERNIE
OPERATIONS MANAGER

Aged 52. Mr Fernie is responsible for the Group's FPSO Operations Department. Main duties include providing operations and maintenance support to the operations teams deployed offshore or within projects.

He has over 25 years of experience in the oil & gas industry having worked on FPSO new-build and conversion projects in the North Sea, Canada, Norway, and West Africa for Marathon, Husky Energy, Maersk, and Woodside. Mr Fernie holds a Bachelor Degree in Mechanical Engineer from Robert Gordon University, Aberdeen.

MR MICHEL NAGEL
PRODUCTION DIVISION PROJECT MANAGER

Aged 38. Mr Nagel is responsible for the delivery of the Chim Sao FPSO for the Block 12W Field Development Project in Vietnam, which is due to start production in mid-2011.

Mr Nagel is a qualified Civil Engineer with over 17 years of extensive experience in the offshore oil & gas industry. He has worked on various offshore construction & installation projects for and with major oil companies. Previous employment would include Bouygues Offshore, SaiBOS CML (joint venture between Bouygues Offshore and Saipem S.p.A.), Total S.A. and Global Process Systems. Mr Nagel graduated from the Imperial College of London with a Bachelor of Engineering (Hons).

CORPORATE STRUCTURE

EOCL

100%

LEWEK CONQUEROR (BVI) LTD

100%

LEWEK CHANCELLOR SHIPPING PTE LTD

100%

LEWEK CHAMPION SHIPPING PTE LTD

100%

EMAS OFFSHORE CONSTRUCTION AND PRODUCTION PTE LTD

100%

LEWEK EVERSURE SHIPPING PTE LTD

DORMANT

100%

LEWEK EVERSHINE SHIPPING PTE LTD

DORMANT

100%

EMAS OFFSHORE PRODUCTION SERVICES (VIETNAM) PTE LTD

41.3%

PV KEEZ PTE LTD

100%

LEWEK EMERALD SHIPPING PTE LTD

CORPORATE DIRECTORY

DIRECTORS
Mr Lee Kian Soo, Non-executive Chairman
Mr Lee Chye Tek Lionel, Non-executive Vice Chairman
Mr Cuthbert (Chas) I.J. Charles, Non-executive Director
Mr Michael Lai Kai Jin, Non-executive Director
Dr Wang Kai Yuen, Non-executive Director

COMPANY SECRETARY
Mr David Tan Yew Beng

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AUDITORS
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6 Shenton Way #32-00
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Singapore 068809

Partner-in-charge:
Mr Lim Kuan Meng
(appointed on 9 January 2009)

PRINCIPAL BANKERS

AUSTRALIA AND NEW ZEALAND BANKING GROUP LIMITED
1 Raffles Place #32-00
OUB Centre
Singapore 048616

BANGKOK BANK PUBLIC COMPANY LIMITED
180 Cecil Street, Bangkok Bank Building
Singapore 069546

BNP PARIBAS
20 Collyer Quay
Tung Centre
Singapore 049319

DBS BANK LTD
6 Shenton Way
DBS Building
Singapore 068809

MALAYAN BANKING BERHAD
Maybank Tower
2 Battery Road
Singapore 049907

UNICREDIT BANK AG
30 Cecil Street #25-01
Prudential Tower
Singapore 049712

UNITED OVERSEAS BANK LIMITED
80 Raffles Place UOB Plaza
Singapore 048624

CONSTRUCTION DIVISION

Vessels:
Lewek Conqueror – accommodation and construction barge
Lewek Chancellor – accommodation and construction barge
Lewek Champion – heavylift, pipelay and construction barge

The construction segment undertakes activities such as:

- Pipe laying, Heavylift, Offshore Transportation and Installation
- Hook-Up and Commissioning
- Offshore Accommodation services and Marine Support services

PRODUCTION DIVISION

Vessels:
Lewek Arunothai – floating production, storage and offloading unit

The production segment undertakes activities such as:

- Provision of Floating Production, Storage, and Offloading systems
- Provision of Floating Storage, and Offloading systems
- Engineering, Procurement, and Project Management of FPSO and FSO Mooring systems

OPERATIONS REVIEW

THE CONSTRUCTION DIVISION owns and operates a young and modern fleet, capable of providing accommodation and maintenance support, offshore construction and installation, offshore heavylift, hook-up and commissioning, mooring installation and pipelay services. Both accommodation barges, Lewek Conqueror and Lewek Chancellor, have wire-mooring systems and are particularly built for offshore hookup and commissioning, shutdown maintenance and construction support activities.

The Construction division is also the operator of the Lewek Champion, a heavylift accommodation barge with dynamic-positioning technology (DP2) and pipelay capabilities. With its DP2 capabilities, the Lewek Champion is unique for being able to operate in both shallow and deepwater regions. The fleet's operations within the Construction division are primarily focused on shallow and medium level waters within the Australasian region.

THE COMBINATION OF QUALITY ASSETS WITH A SOLID PERFORMANCE, DELIVERY AND SAFETY RECORD IS CRUCIAL TO DRIVING EOC'S GROWTH IN THE OFFSHORE CONSTRUCTION MARKET.

In FY2010, EOC recorded a 58% increase in revenue even though market conditions signaled a challenging period for 2010. The tenacity and dynamism of the Construction Division was further tested and proven as the team managed to maintain a good level of utilization through new contracts and extension of charters. From the Production Division, we saw a contribution of 55% to the Group's total revenue, attributed from the delivery and successful operation of Lewek Arunothai. The commencement of revenue generation from the FPSO marks a significant milestone for the Group as it attests to the capabilities of the project management team and the operations management team.

LEWEK CONQUEROR

ACCOMMODATION	308
OVERALL LENGTH, M	100
BREADTH, M	30.48
CRANE	250T @ 30M RADIUS
HELIPAD	SUITABLE FOR SIKORSKY 61
MOORING SYSTEM	8 POINT
FLAG	PANAMA
CLASS	PANAMA
DYNAMIC POSITIONING	N.A
PIPE LAYING CAPABILITY	NO
DELIVERY DATE	JANUARY 2004

LEWEK CONQUEROR is the Group's first accommodation barge. She has been on a long term contract since her delivery in 2004, and a new contract was signed for another 5 years in 2009 for her technical capabilities and successful track record, for our client in Brunei. Lewek Conqueror currently provides accommodation and maintenance support services for an international oil major in Brunei and she is expected to continue contributing positively to the Group till the end of 1Q 2014.

LEWEK CHANCELLOR

ACCOMMODATION	290
OVERALL LENGTH, M	91.44
BREADTH, M	27.43
CRANE	41 T @ 30 FT RADIUS
HELIPAD	SUITABLE FOR SIKORSKY 61
MOORING SYSTEM	8 POINT
FLAG	COMMONWEALTH OF DOMINICA
CLASS	LLOYD'S REGISTER OF SHIPPING
DYNAMIC POSITIONING	N.A
PIPE LAYING CAPABILITY	NO
DELIVERY DATE	MARCH 2007

LEWEK CHANCELLOR, the Group's second accommodation barge, was deployed in India between November 2009 and April 2010. Under the scope of this contract, she provided accommodation support services to a major independent that is based in the United Kingdom. Subsequently in May 2010, she was awarded a new contract to provide accommodation support for a joint venture between a Malaysian oil major and a Thai petroleum exploration and production company. Having proven her suitability and reliability, this contract was subsequently extended from September 2010 to November 2010.

LEWEK CHAMPION

ACCOMMODATION	358 - 500
OVERALL LENGTH, M	142
BREADTH, M	40
CRANE	HEAVYLIFT - 800T @ 30M RADIUS
HELIPAD	SUITABLE FOR SIKORSKY S92
MOORING SYSTEM	8 POINT
FLAG	SINGAPORE
CLASS	LLOYD'S REGISTER OF SHIPPING
DYNAMIC POSITIONING	DP2
PIPE LAYING CAPABILITY	YES
DELIVERY DATE	AUGUST 2007

LEWEK CHAMPION, the Group's heavylift, pipelay and construction barge, has continued to reap success from contracts that well-suit her sophisticated but flexible specifications. The spot opportunity in Thailand which lasted from December 2009 to February 2010 saw her bolster her track record further from the provision of services such as the installation of jackets, platforms and pipelines. However, the vessel did face a challenging quarter between the months of March and May 2010 when she was off-charter due to a lack of suitable opportunities. The Group effectively utilized this period to carry out thorough maintenance works.

Through the relentless efforts of the commercial team, the Lewek Champion was awarded a contract in May 2010 to provide structural heavylift, pipelay and subsea construction services to an independent based in Malaysia. This new contract saw her employed to the end of Fiscal Year 2010. We are currently in the midst of securing an award of employment for offshore deployment in Thailand to a Supermajor and if successful, the addition of this new charterer to our client base will greatly enhance our reputation as a leading provider of offshore construction services.

As part of EOC's integrated service solutions to its customers, **THE PRODUCTION DIVISION** provides services relating to the operation and provision of floating production systems, floating storage systems, and the design and engineering of turret mooring systems as well.

This division owns and operates the **LEWEK ARUNOTHAI**, which is considered to be one of the largest gas FPSOs in the world, and she is employed by PTT Exploration and Production Public Company Limited operating in the Gulf of Thailand.

As an addition to the Group's capabilities, **A SECOND FPSO** is currently undergoing conversion works and is slated for delivery in the middle of 2011.

LEWEK ARUNOTHAI

OVERALL LENGTH, M	263.7
BREADTH, M	40.8
DEPTH MOULDED, M	22.2
GROSS TONNAGE, TONS	63,101
DWT (TROPICAL)	127,540
LIGHTWEIGHT, TONS	18,661
STORAGE, MBBL	725
EXPORT GAS	175 MMSCFD @ 2000 PSIG, 50OC
CONDENSATE	4000 BBL / DAY
DELIVERY DATE	DECEMBER 2008

In 3QFY10, **LEWEK ARUNOTHAI** underwent a planned maintenance shutdown for approximately forty-five days after a full quarter's contribution in Q2FY10. This exercise was carried out to enhance her long-term operating efficiencies. Although this reduced EOC's total revenue for Q3FY10, she restarted operations optimally and contributed to a full quarter's revenue in Q4FY10, which consolidated her position as one of the Group's prime assets.

As of the date of this report, the ongoing conversion work for the Vietnamese FPSO is proceeding according to planned schedules, and delivery of the vessel remains to be within the middle of 2011. The Vietnamese project will greatly enhance our continued pursuit to position ourselves as a leading global FPSO operator and allow us to reap additional economies of scale.

AS PART OF THE GROUP'S LONG-TERM EXPANSION STRATEGY, THE PRODUCTION DIVISION PLANS TO INCREASE ITS NUMBER OF FPSO CONTRACTS THROUGH A PROACTIVE COMMERCIAL STRATEGY, WITH A FOCUS ON DEVELOPING ALLIANCES WITH STRATEGIC PARTNERS WORLDWIDE TO UNDERTAKE THESE OPPORTUNITIES.

HSEQ

One of EOC's main core values is Health, Safety, and Environment (HSE). The safety of our crew is of utmost importance and we aim to provide an "Incident Free" working environment to all our employees. We have recorded Zero Lost Time Injuries for 3 years running and achieved over 3 million incident-free man-hours, cumulatively contributed by our operating assets. This is a testament to the company's commitment towards building a proactive safety culture, and shows the effectiveness of our Personal Responsibility for Safety program where employees are trained on safety leadership qualities. Within the Group, all members are given full authority to stop and report any unsafe work. We never compromise on our HSE policies.

OUTLOOK FOR 2011

There is now clearer visibility on the growing demand for energy in the Sino-Asia region and this phenomenon is expected to increase offshore oil & gas exploration and development in the Asia Pacific notably in Australia's Northwest Shelf, China, Malaysia, Indonesia and India. The experience and growth of EOC has evolved largely from the projects that were undertaken within the Asia Pacific and as the Group emerges to explore new frontiers and potential cooperation with partners in untapped regions such as the North Sea, West Africa and Brazil.

Development activity on a global scale is expected to grow sharply to exploit marginal fields and even new reserves, providing significant and rising opportunities for both contractors in the offshore construction and floating production sectors. Evidently, the increasing amount of activities is reflected is the total number of FPSO contracts growing from 6 in 2009 to 15 in 2010. The advancement of exploratory phases in the pre-salt basins in Brazil, gas fields off Australia's Northwest Shelf, and promising new reserves within Southeast Asia, have also presented many tenders and umbrella contracts for offshore construction support contractors to provide subsea installation, pipelay and heavylift support services.

The anticipated growth profile of major developments will assist the Company's organic growth plans alongside a continued focus on the forming of strategic alliances to gain a foothold in new grounds, manage risks, diversify our revenue base, and to maximise the efficiency of the Group's capital whilst expanding. Through the lessons learnt from past years, the Company is now well-positioned to take on new challenges and implement the growth strategies for the years ahead.

PRINCIPAL RISKS AND UNCERTAINTIES

The Group may be exposed to various known and unknown risks and uncertainties. These uncertainties and risks may develop into actual events which could materially and adversely affect our business, financial conditions or results of operations and prospects.

These uncertainties and risks may include, amongst others:

- Changes in financial markets,
- Changes in socio-economic environments,
- Availability of substitute services,
- The competitive nature of the offshore oil & gas industry,
- Oil & gas prices,
- Oil & gas demand,
- Changes in technology,
- Changes in local and foreign government regulations,
- Changes in economical conditions or political events,
- Changes in weather condition,
- Inability of the Group to obtain financing for potential newbuilds or maintaining existing assets on favorable financing terms,
- Changes in the spending plan of our customers, and
- Changes in the Group's operating expenses including crew wages, insurance, dry-docking, repairs and maintenance.

In addition to the possible risks mentioned above, the Group is exposed to a number of financial risks including but not limited to credit risk, liquidity risk, foreign currency risk and interest rate risks as disclosed in pages 70 to 81 in this Annual Report. It is the policy of the Group to continuously monitor, review and take the necessary steps to minimise the potential effects of these risks to the Group's performance.

"INCREASE IN CAPITAL EXPENDITURE FOR EXPLORATION AND PRODUCTION FROM OIL COMPANIES IS EXPECTED WITH THE STABILISING OF OIL PRICES AS WELL WHICH COULD POTENTIALLY LEAD TO AN INCREASE IN DEMAND FOR POST-EXPLORATION ACTIVITIES. THIS FAVOURABLE CONDITION ALLOWS EOC TO EXPLORE BUSINESS OPPORTUNITIES BEYOND OUR TRADITIONAL TARGET MARKETS."

—CHIEF EXECUTIVE OFFICER, MR LIM KWEE KEONG

CORPORATE GOVERNANCE REPORT

1 IMPLEMENTATION AND REPORTING ON CORPORATE GOVERNANCE

EOC is listed on the Main Board of the Oslo Børs and its activities are primarily governed by the Norwegian Code of Practice for Corporate Governance ("the Code") of 21 October 2010. Being a company incorporated in Singapore, certain practices may deviate from certain recommendations of the Code due to different practices and principles observed by Singapore public-listed companies. The Company will provide explanations of non-compliance if the regulations are not fully adhered to.

The Board of Directors ("Board") agrees that the best interests of the Company and the Shareholders be regarded as a whole and is reflected through its operations and strategies. EOC established its corporate and social values guidelines based on a foundation of corporate, environmental and social responsibility. Our code of conduct is derived from our corporate and social values which governs all employee dealings with existing clients, potential customers and suppliers, that are in accordance with reasonable and fair market practices.

2 BUSINESS

The Company's business objectives, vision and strategies are clearly defined in this Annual Report. The Group's business is to own and operate offshore construction, accommodation, pipe laying and floating production units and related services, targeted at the offshore oil & gas industry as defined in clause 3 of the Company's Memorandum of Association ("MOA").

The Company's other business objectives which the Company does not currently perform are also defined in clause 3 of the Company's MOA. The Company has decided to continue to maintain these activities within its objectives as it will allow the Company to have the required flexibility to capitalize on opportunities associated with the Group's business.

3 EQUITY AND DIVIDENDS

According to Article 121 of the Company's Articles of Association, the Company may declare annual dividends with the approval of our Shareholders in a general meeting, but the amount of such dividends shall not exceed the amount recommended by our Directors. Our Directors may also declare an interim dividend without seeking Shareholders' approval.

In considering the form, frequency and amount of future dividends, if any, our Directors will take into account various factors, including but not limited to:

- The level of our cash and retained earnings;
- Our expected financial performance; and
- The projected levels of capital expenditure and other investment plans.

Investors should note that the intention to recommend the aforesaid dividends should not be treated as a legal obligation by the Company. In determining dividends in respect of subsequent financial years, consideration will be given to maximize Shareholders' value.

At every Annual General Meeting, the Company will seek the following mandate from Shareholders:

(i) To issue new shares at any time, and upon such terms and conditions, and for such purposes, and to such person, as the Directors may in their absolute description deem fit; provided that:

 (a) The aggregate number of shares to be issued to new Shareholders does not exceed 10% of the issued share capital of the Company; and

 (b) The aggregate number of shares to be issued on pro-rata basis to existing Shareholders does not exceed 50% of the issued share capital of the Company.

(ii) To purchase ordinary shares of the Company not exceeding in aggregate 10% of the issued and paid-up capital of the Company, at such price as may be determined by the Directors of the Company from time to time, up to a maximum price, in accordance with the Singapore Companies Act.

These mandates, if approved by Shareholders, will be enforced until the conclusion of the next Annual General Meeting. The next Annual General Meeting is required by the Singapore Companies Act, Chapter 50, to be held once in every calendar year and not more than 15 months from the preceding Annual General Meeting.

4 EQUAL TREATMENT OF SHAREHOLDERS AND TRANSACTIONS WITH CLOSE ASSOCIATES

EOC has only one class of shares. All the shares have equal voting rights. The Articles of Association place no restriction on voting rights.

In the event of material transactions between the Company and a director, officer, shareholder or any personnel related to the above mentioned, the Board will make arrangements to obtain a valuation of the contract object from an independent third party. Such transactions shall be duly disclosed in the notes to the financial statements.

The directors, officers and leading personnel of the manager are also instructed to notify the Board should there be any form of material direct or indirect dealings in the contracts that the Company is entering into.

5 FREELY NEGOTIABLE SHARES

The Company's shares are freely negotiable. The Articles of Association place no restriction on negotiability.

6 GENERAL MEETINGS

At all times, the Board will disseminate the notice of a general meeting to all Shareholders, registered in the VPS (the Norwegian Central Securities Depository, "Verdipapirsentralen"), within two weeks prior to the actual meeting. If a special resolution is to be passed at the meeting, then at least 21 days' notice in writing is required. The notice is accompanied by explanatory statements in respect of the suggested resolutions. The relevant information on the procedure for representation will also be provided. To participate, a Shareholder is normally requested to notify DnB Nor Bank ASA or the Company not less than 96 hours prior to the meeting. Shareholders may participate in person or through a proxy.

The Company will seek to hold the Annual General Meetings in Oslo to accommodate participation from the majority of our Shareholders. If the event is to be held in Singapore or another predetermined country, the facilitation for teleconference or other electronic mediums will the arranged wherever necessary. The Auditor will be present when the annual accounts are resolved.

The Chairman of the Board will preside over the general meeting in accordance with normal practice in Singapore. There is a preference by most shareholders for the Chairman to take charge of the meeting as the individual is deemed to be most well informed of the Company's activities. In an event where an independent Chairman is preferred by the majority of shareholders, the Company will seek to re-evaluate its practice.

7 NOMINATING COMMITTEE

The Code recommends that the Company establishes an independent Nominating Committee which deviates from normal practice in Singapore. In accordance with Singapore practices, the Company established a Nominating Committee ("NC") as a sub-committee of the Board, comprising board members who are independent of the main Shareholders of the Company. The establishment of a NC is also not reflected in the Company's Articles of Association as it is governed by the terms of reference of NC. Nevertheless, the Company will make constant evaluations to the requirement of an independent NC.

The NC will execute the following:

(a) Make recommendations to the Board on all board appointments, including re-nominations, taking into consideration the director's contribution and performance;

(b) Conduct regular evaluations on the structure, size, and composition of the Board, and make necessary adjustments if required;

(c) Identify and nominate candidates to fill Board vacancies when required and carefully map out succession plans, particularly, with regards to the Chairman and Chief Executive Officer;

(d) To conduct annual reviews of directors' independence. If a director is found to have business dealings or relationships that could potentially interfere with his independent decision-making or judgment, when the business relationships are in fact considered independent, the NC should make full disclosure of the nature of the director's relationship and assume responsibility for the concurrence of his independence;

(e) Make recommendations to the Board to determine the continuance of the services of a director who has reached the age of 70;

(f) Ensure adherence to guidelines set to promote voluntary rotation by directors who are retiring. Directors are also encouraged to submit themselves for re-election at least once every three years;

(g) Determine if a director's performance is aligned with the Company's policies and strategies and if the director has acted duly if he has multiple board representations;

(h) Establish procedures to determine the Board's performance and propose a system to make evaluations and comparisons for the Board's accomplishment against industry standards; and

(i) Coordinate all communications with the Board to produce the required report meant for the shareholders.

The remuneration of the Board members is also determined by a separate committee, the Remuneration Committee ("RC"). The RC is also a sub-committee of the Board, comprising Board members who are independent of the main Shareholders of the Company. Its functions are further described in Section 11 and 12. Certain terms of reference and the set up of the NC deviate from the Code. The Company is currently reviewing the above for the feasibility of future compliance.

8 CORPORATE ASSEMBLY AND BOARD OF DIRECTORS: COMPOSITION AND INDEPENDENCE

The Board of independent directors consists of five individuals who are independent of the executive management duties of the Company and its main business associates. Three members are independent of the main Shareholders. As of the date of this annual report, the Board comprises of:

Mr Lee Kian Soo (Chairman)
Mr Lee Chye Tek Lionel (Vice-Chairman)
Mr Cuthbert (Chas) I.J Charles (Director)
Dr Wang Kai Yuen (Director)
Mr Michael Lai Kai Jin (Director)

For the financial year ended 31 August 2010, a total of six Board meetings were held.

Please refer to the table below for the attendance of the Board:

Name of Director	Attendance In-Person	Teleconference
Mr Lee Kian Soo	6	0
Mr Lee Chye Tek Lionel	3	3
Mr Cuthbert (Chas) I.J Charles	3	2
Dr Wang Kai Yuen	5	1
Mr Michael Lai Kai Jin	6	0

The members of the Board are elected at the general meeting by Shareholders. Article 91 of the Company's Articles of Association states that all Directors will be have to be re-elected at least once every three years (the standard term for directors on the board of public listed companies in Singapore). Taking into account the nature and scope of the Company's operations, the Company will ensure through internal policies that the Board will comprise of individuals from diverse backgrounds to provide efficient guidance and expertise to the Company.

Please refer to pages 14 and 15 for the relevant background and proficiencies of each member of the Board.

9 THE WORK OF THE BOARD OF DIRECTORS

The Board will work together to provide direction for the Group and is principally responsible for the achievement of long term value and yield for Shareholders. The management team of the Company will pursue the goals and execute the plans and strategy set out by the Board.

The following describes the roles of the Board:

a) **Provide entrepreneurial leadership and ensure management team's leadership are of the highest quality and integrity;**
b) **Set, review, and approve corporate strategic aims, which involve financial objectives and directions of the Group, and ensure that the necessary financial, human, and relevant resources, are in place for the Group to meet its objectives;**
c) **Establish goals for management, review and monitor the performance, and achievement of these goals;**
d) **Establish a framework of prudent and effective controls which enables risk to be assessed and managed; and**

e) Set the Group's values and standards and ensure that the obligations to Shareholders and others are understood and met.

Internal guidelines have also been put in place to ascertain issues which require Board approval.

The types of material transactions that require such approval from the Board are as follows:

a) Approve annual budgets;
b) Approve major transaction proposals which include funding, merger, acquisition, incorporation of new subsidiaries and disposal transactions;
c) Approve quarterly and annual results announcements and audited accounts;
d) Approve material announcement;
e) Convene meeting for shareholders; and
f) Declaration of interim dividends and proposed final dividends.

Since 2007 , three sub-committees have been assisting the Board with the execution of its duties. The 3 sub-committees are namely: Remuneration Committee ("RC"), Nominating Committee ("NC"), and Audit Committee ("AC"). These committees have their functions clearly defined by the Board and operating procedures are reviewed regularly.

New Directors appointed to the Board will be provided a formal letter stating their duties and responsibilities. They are also advised on the Group's business activities, its strategic direction, and regulatory environments in which the Group operates.

10 RISK MANAGEMENT AND INTERNAL CONTROL

The Board ensures that the Company has satisfactory internal control procedures to manage exposure to risks related to the conduct of the Company's business, to support the quality of its financial reporting and to ensure compliance with laws and regulations. Such procedures and systems shall contribute to securing investment from Shareholders' and funding from financial institutions for the expansion of the Group.

As part of the annual statutory audit on financial statements, the external auditors report to the AC, and the appropriate level of management on any material weaknesses in financial controls over the areas, which are significant to the audit. In addition, the Group has outsourced its internal audit function to an international public accounting firm, Stone Forest Consulting Pte Ltd, to review the effectiveness of the key internal controls, including financial, operational, and compliance controls. Procedures are in place for internal auditors to report independently their findings and recommendations to the AC.

EOC incorporates its corporate and social values into the framework of its business decision-making process, with a goal to achieve positive and sustainable outcomes towards business, environment and the community at large. Taking responsibility for health, safety, and the environment ("HSE") is a core value at EOC, and our employees are trained in accordance to industry-wide safety systems. The safety of our crew is of utmost importance to us and all members are given full authority to stop and report any unsafe work. The Group continuously reviews and works to improve the business operational activities whilst managing the associated risks. This would consist of the continuous review of the processes and workflows that is applicable to, current industry and safety standards, management efficiency, and related resources. The Group also takes into consideration the various financial risks that may have an impact on the Company's business activities. These risks are further elaborated on pages 70 to 81 of the Annual Report.

11 REMUNERATION OF THE BOARD OF DIRECTORS

The Company's general meeting determines the Board's remuneration on the basis of recommendations from the Company's RC. Remuneration should be reasonable and based on the Board's responsibilities, work, time invested, and the complexity of the business. The suggested remuneration to the Board in FY2011 will remain unchanged from the previous year.

Section 11 of the Code recommends that the remuneration of the Board is not linked to the performance of the Group. The Company has implemented a share option programme for the Board and the Management. The Company believes that remuneration that is linked to the Group's performance, will provide an alignment of interests, which the Company believes are in the best interest of its shareholders.

12 REMUNERATION OF KEY MANAGEMENT

The main function of the RC is to determine the remuneration package and employment terms for the Management of the Company. In setting the remuneration package, the RC takes into consideration the wage and employment conditions within the industry and comparable companies. The Group may engage external remuneration specialists to study and recommend a comprehensive reward system for the Key Management, based on suitable benchmarks and practices, to ensure external competitiveness and alignment with the Company's strategy and longer term plans.

As part of its review, the RC ensures that performance-related elements of remuneration form a significant part of the total remuneration package of the Key Management. The review is also designed to align the Key Management's interests with those of Shareholders, and link rewards to Shareholder value creation over time, together with corporate and individual performance. The RC will also seek to review the feasibility of implementing a cap on remuneration which is linked to the performance of the Company at the upcoming Annual General Meeting. This exercise is in line with the new recommendation as stated in the 21 October 2010 version of the Code.

Please refer to the following table for the remuneration package of the Key Management personnel for the financial year ended 31 August 2010:

Name of Key Management	Renumeration Paid/Payable in FY2010			Breakdown of Management Remuneration			
	Up to US$250,000	US$250,000 to US$500,000	Above US$500,000	Salary & CPF %	Bonus %	Other Benefits %	Total %
Mr Lim Kwee Keong	-	-	X	38	56	6	100
Mr Chan Eng Yew	-	X	-	49	41	10	100
Mr Philippus Geerling	-	-	X	54	34	12	100
Mr Dominic Koay Seng Keong	-	X	-	49	41	10	100

13 INFORMATION AND COMMUNICATION

The Company places great emphasis on ensuring that Shareholders and the rest of the share market receive rapid, relevant and, as objective as possible, information about the Company. Simultaneous notification is an important principle in our strategy for information dissemination. Our goal is for Shareholders to have a good understanding of the Company's activities so that they are in the best possible position to evaluate the Company's underlying value. The information is primarily disseminated via the Company's quarterly and annual reports as well as various presentations for investors in general. Being accessible to analysts is one of the Company's priorities. All reports, press releases, presentations and investor relations contact personnel are available on our website: www.emasoffshore-cnp.com. All investor-related queries can also be directed to investor_relations@emasoffshore-cnp.com. The Company's financial calendar is available on the website of the Company and the Oslo Børs.

14 TAKE-OVERS

The Company will comply with all applicable statutory regulations should take-over bids occur. The Company will work to amalgamate the best interests of the Company and its Shareholders.

15 AUDITORS

Deloitte & Touche LLP was appointed as the Company's external auditor for the financial year ended 31 August 2010.
The Board has delegated all matters in connection with the audit to the AC.

As part of the audit, the auditor is required to submit audit plans, highlighting key risk areas, and any new and potential changes in the accounting principles to be reviewed by the AC. Subsequently, recommendations are made to the Board for approval.
The AC has met with the Management and the external auditor once annually to review the external audit plans submitted. Also, as part of its statutory audit on financial statements, the auditor reports to the AC as well as the appropriate Management personnel, any material weaknesses in the internal controls over areas which are significant to the audit. Based on the discussion with

the auditor and the Management, the Board is satisfied with the internal controls of the Group throughout the financial year. As at the date of this report, the internal controls are adequate to safeguard its assets and ensure integrity of its financial statements.

The AC has met with the external auditor without the presence of the Key Management.

It is the policy of the Group to seek non-audit related services from a firm other than the Group's auditor, except for instances whereby, the provision of services by the auditor is more cost-efficient, and timely, and also does not impair independence.
The AC has received annual written confirmation from the auditor that the auditor continues to satisfy the requirements for independence. In addition, the AC has reviewed the volume of non-audit services provided to the Group by the external auditor and is satisfied that the nature and extent of such services will not prejudice the independence and objectivity of the external auditor.

The auditor's fees for FY2010 amounted to US$88,000. Consultancy fees which relate to tax-related issues for FY2010 amounted to US$33,000.

Lewek Conqueror and Lewek Chancellor undergoing maintenance

"THE MARKET FOR CONSTRUCTION AND PRODUCTION VESSELS SUCH AS OURS IS PICKING UP AND WE ARE ACTIVELY PARTICIPATING IN TENDERS FOR NEW FPSO OPPORTUNITIES. ON TOP OF THIS, WE ARE EXPLORING ALTERNATIVE ENERGY PROJECTS AND PLAN TO GROW OUR INCOME FROM ENGINEERING SERVICES AND FROM THE MANAGEMENT AND OPERATION OF THIRD PARTY VESSELS. WE SEE BETTER TIMES AHEAD."

—CHIEF EXECUTIVE OFFICER, MR LIM KWEE KEONG

FINANCIAL STATEMENTS

REPORT OF THE DIRECTORS

The directors present their report together with the audited consolidated financial statements of the Group and statement of financial position as at 31 August 2010 and statement of changes in equity of the Company for the financial year ended 31 August 2010.

1 DIRECTORS

The directors of the Company in office at the date of this report are:

Lee Kian Soo	(Non-executive Chairman)
Lee Chye Tek Lionel	(Non-executive Vice-Chairman)
Cuthbert (Chas) I.J. Charles	(Non-executive Director)
Michael Lai Kai Jin	(Non-executive Director)
Wang Kai Yuen	(Non-executive Director)

2 ARRANGEMENTS TO ENABLE DIRECTORS TO ACQUIRE BENEFITS BY MEANS OF THE ACQUISITION OF SHARES AND DEBENTURES

Neither at the end of the financial year nor at any time during the financial year did there subsist any arrangement whose object is to enable the directors of the Company to acquire benefits by means of the acquisition of shares or debentures in the Company or any other body corporate.

3 DIRECTORS' INTERESTS IN SHARES AND DEBENTURES

The directors of the Company holding office at the end of the financial year had no interests in the share capital and debentures of the Company and related corporations as recorded in the register of directors' shareholdings kept by the Company under Section 164 of the Singapore Companies Act except as follows:

	Shareholdings registered in name of director		Shareholdings in which directors are deemed to have an interest	
Name of directors and company in which interests are held	At beginning of year	At end of year	At beginning of year	At end of year
The Company				
Ordinary shares				
Lee Kian Soo	–	–	53,891,889	52,480,239
Lee Chye Tek Lionel	–	–	53,891,889	52,480,239
Wang Kai Yuen	75,000	75,000	–	–

3 DIRECTORS' INTERESTS IN SHARES AND DEBENTURES (CONT'D)

By virtue of Section 7 of the Singapore Companies Act, Lee Kian Soo and Lee Chye Tek Lionel are deemed to have an interest in all the related corporations of the Company.

4 DIRECTORS' RECEIPT AND ENTITLEMENT TO CONTRACTUAL BENEFITS

Since the beginning of the financial year, no director has received or become entitled to receive a benefit which is required to be disclosed under Section 201(8) of the Singapore Companies Act, by reason of a contract made by the Company or a related corporation with the director or with a firm of which he is a member, or with a company in which he has a substantial financial interest except for salaries, bonuses and other benefits as disclosed in the financial statements.

5 SHARE OPTIONS

In 2007, the shareholders approved the EOC Employee Share Option Scheme ("EOC ESOS") for the granting of non-transferable options that are settled by physical delivery of the ordinary shares of the Company, to directors and key employees of the Company.

The EOC ESOS will be administered by the EOC Remuneration Committee, or such other committee comprising directors duly authorised and appointed by the Board of Directors, which will decide the provisions and terms and condition of each grant.

There are no share option schemes for other corporations in the Group.

(a) Option to take up unissued shares

During the financial year, no option to take up unissued shares of the Company were granted.

(b) Option exercised

During the financial year, there were no shares of the Company issued by virtue of the exercise of an option to take up unissued shares.

(c) Unissued shares under option

At the end of the financial year, there were no unissued shares of the Company under option.

6 AUDIT COMMITTEE

As at the date of this report, the Audit Committee ("AC") comprises the following members:

Name of member	Position held
Wang Kai Yuen	Chairman
Cuthbert (Chas) I.J. Charles	Member
Michael Lai Kai Jin	Member

The AC carried out its functions in accordance with Section 201B(5) of the Singapore Companies Act, Cap. 50, including the following:

- Reviewed the audit plans of the external auditors of the Company and the co-operation given by the Company's management to the external auditors;
- Reviewed the adequacy of the Group's system of internal accounting controls;
- Reviewed the quarterly and annual financial statements and the independent auditors' report on the annual financial statements of the Group and the statement of financial position and statement of changes in equity of the Company before their submission to the Board of Directors;
- Met with the external auditors, other committees, and management in separate executive sessions to discuss any matters that these groups believe should be discussed privately with the AC;
- Met with the external auditors to discuss the results of their examinations;
- Reviewed legal and regulatory matters that may have a material impact on the financial statements, related compliance policies and programmes and any reports received from regulators;
- Reviewed the cost effectiveness and the independence and objectivity of the external auditors;
- Reviewed the nature and extent of non-audit services provided by the external auditors;
- Recommended to the Board of Directors the external auditors to be nominated and reviewed the scope and results of the audit;

6 AUDIT COMMITTEE (CONT'D)

- Reviewed actions and minutes of the AC to the Board of Directors with such recommendations as the AC considers appropriate;

- Reviewed interested person transactions; and

- Reviewed the budget for the Group before its submission to the Board of Directors.

During the financial year, the AC held 4 meetings with the management. The AC has been given full access to and obtained the co-operation of the Company's management.

The AC, having reviewed all non-audit services provided by the external auditors to the Group, is satisfied that the nature and extent of such services would not affect the independence of the external auditors.

The AC has reasonable resources to enable it to discharge its functions properly.

7 AUDITORS

The auditors, Deloitte & Touche LLP, have expressed their willingness to accept re-appointment.

ON BEHALF OF THE BOARD OF DIRECTORS

....

Lee Kian Soo

....

Wang Kai Yuen

Singapore
Date: 22 November 2010

INDEPENDENT AUDITORS' REPORT

TO THE MEMBERS OF EOC LIMITED

We have audited the accompanying financial statements of EOC Limited (the "Company") and its subsidiaries (the "Group") which comprise the statements of financial position of the Group and the Company as at 31 August 2010, and the statement of comprehensive income, statement of changes in equity and statement of cash flows of the Group and the statement of changes in equity of the Company for the financial year then ended, and a summary of significant accounting policies and other explanatory notes, as set out on pages 47 to 111.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the provisions of the Singapore Companies Act, Cap. 50 (the "Act") and International Financial Reporting Standards. This responsibility includes: devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair profit and loss account and balance sheets and to maintain accountability of assets; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Singapore Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

TO THE MEMBERS OF EOC LIMITED

Opinion

In our opinion,

a) the consolidated financial statements of the Group and the statement of financial postion and statement of changes in equity of the Company are properly drawn up in accordance with the provisions of the Act and International Financial Reporting Standards so as to give a true and fair view of the state of affairs of the Group and of the Company as at 31 August 2010 and of the results, changes in equity and cash flows of the Group and changes in equity of the Company for the financial year ended on that date; and

b) the accounting and other records required by the Act to be kept by the Company and by those subsidiaries incorporated in the Republic of Singapore of which we are the auditors have been properly kept in accordance with the provisions of the Act.

Deloitte & Touche LLP
Public Accountants and
Certified Public Accountants

Lim Kuan Meng
Partner
Appointed on 9 January 2009

Singapore
Date: 22 November 2010

STATEMENTS OF
FINANCIAL POSITION

AS AT 31 AUGUST 2010

	Note	Group		Company	
		2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
ASSETS					
Current assets					
Cash and bank balances	6	81,089	75,505	23	37
Trade receivables	7	26,039	28,753	–	–
Other receivables, deposits and prepayments	8	59,752	25,559	131,448	123,024
Derivative financial instruments	9	1	20	–	–
Total current assets		166,881	129,837	131,471	123,061
Non-current assets					
Property, plant and equipment	10	459,126	468,941	–	–
Investment in subsidiaries	11(a)	–	–	42,241	42,241
Investment in associate	12	27,620	–	–	–
Total non-current assets		486,746	468,941	42,241	42,241
Total assets		653,627	598,778	173,712	165,302
LIABILITIES AND EQUITY					
Current liabilities					
Derivative financial instruments	9	2,653	1,816	–	–
Bank loans	13	90,404	48,032	–	–
Trade payables	14	12,704	6,896	–	–
Other payables and accruals	15	55,014	46,916	39,676	36,575
Income tax payable		1,650	642	42	102
Total current liabilities		162,425	104,302	39,718	36,677
Non-current liabilities					
Bank loans	13	301,552	330,378	–	–
Other payables and accruals	15	37,836	32,892	37,800	32,800
Total non-current liabilities		339,388	363,270	37,800	32,800
Capital and reserves					
Share capital	16	94,578	94,578	94,578	94,578
Hedging reserves	17	(535)	(390)	–	–
Restructuring deficit	18	(31,191)	(31,191)	–	–
Accumulated profits		88,962	68,209	1,616	1,247
Total equity		151,814	131,206	96,194	95,825
Total liabilities and equity		653,627	598,778	173,712	165,302

See accompanying notes to financial statements.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

YEAR ENDED 31 AUGUST 2010

	Note	Group 2010 US$'000	Group 2009 US$'000
Revenue	19	113,333	71,655
Cost of sales		(72,407)	(33,075)
Gross profit		40,926	38,580
Other operating income	20	841	50
Other operating expenses	21	(1,532)	(1,569)
Administrative expenses		(10,194)	(10,879)
Profit from operations		30,041	26,182
Finance income	22	1,522	587
Finance costs	23	(9,249)	(5,320)
Profit before income tax		22,314	21,449
Income tax expense	24	(1,561)	(327)
Profit for the year representing profit attributable to shareholders	25	20,753	21,122
Other comprehensive income, net of tax:			
Net loss on cash flow hedges		(145)	(381)
Total comprehensive income for the year		20,608	20,741
Earnings per share (US cents)			
- Basic & Diluted	26	18.70	19.04

See accompanying notes to financial statements.

STATEMENTS OF CHANGES IN EQUITY

YEAR ENDED 31 AUGUST 2010

	Share capital US$'000	Hedging reserves US$'000	Restructuring deficit US$'000	Accumulated profits US$'000	Total US$'000
Group					
Balance at 1 September 2008	94,578	(9)	(31,191)	47,087	110,465
Total comprehensive income for the year	–	(381)	–	21,122	20,741
Balance at 31 August 2009	94,578	(390)	(31,191)	68,209	131,206
Total comprehensive income for the year	–	(145)	–	20,753	20,608
Balance at 31 August 2010	94,578	(535)	(31,191)	88,962	151,814
Company					
Balance at 1 September 2008	94,578	–	–	233	94,811
Total comprehensive income for the year	–	–	–	1,014	1,014
Balance at 31 August 2009	94,578	–	–	1,247	95,825
Total comprehensive income for the year	–	–	–	369	369
Balance at 31 August 2010	94,578	–	–	1,616	96,194

See accompanying notes to financial statements.

CONSOLIDATED STATEMENT OF
CASH FLOWS

YEAR ENDED 31 AUGUST 2010

	Group 2010 US$'000	Group 2009 US$'000
Operating activities		
Profit before income tax	22,314	21,449
Adjustments for:		
Depreciation expense	23,389	8,048
Interest expense	9,249	5,320
Interest income	(1,522)	(587)
Loss on fair value changes of derivative financial instruments	711	1,281
Operating cash flows before movements in working capital	54,141	35,511
Trade receivables	2,714	3,270
Inventories	–	1,739
Other receivables, deposits and prepayments	3,205	2,191
Trade payables	5,808	2,609
Other payables and accruals	(29,000)	(643)
Cash generated from operations	36,868	44,677
Interest expense paid	(9,673)	(9,309)
Interest income received	1,522	587
Income tax paid	(553)	(2,096)
Net cash from operating activities	28,164	33,859
Investing activities		
Purchase of property, plant and equipment, net of adjustment (Note A)	(41,434)	(90,163)
Investment in associate	(27,620)	–
Other receivables - recoverable (Note B), net	(5,072)	(12,940)
Net cash used in investing activities	(74,126)	(103,103)
Financing activities		
Restricted cash/charged accounts	(5,709)	(51,853)
Payment for derivative, net	–	(158)
Proceeds from loan from a related party	38,000	–
Proceeds from bank loans	53,633	165,811
Repayment of bank loans	(40,087)	(45,071)
Net cash from financing activities	45,837	68,729
Net decrease in cash and cash equivalents	(125)	(515)
Cash and cash equivalents at beginning of year	12,697	13,212
Cash and cash equivalents at end of year (Note 6)	12,572	12,697

CONSOLIDATED STATEMENT OF CASH FLOWS (CONT'D)

YEAR ENDED 31 AUGUST 2010

Note A:

The Group purchased property, plant and equipment of US$13,596,000 (2009 : US$107,801,000) of which approximately US$3,325,000 (2009 : US$31,609,000) remained outstanding and was included in other payables as at the end of the financial year.

Interest expense of US$424,000 (2009 : US$3,989,000) was capitalised and included as part of the purchase of property, plant and equipment during the financial year.

Note B:

During the financial year, the Group made a purchase of US$84,452,000 for a project (Note 8) of which US$14,054,000 was received from an associate and US$33,000,000 was offset against a related party balance. An amount of US$53,239,000 remains recoverable (Note 8) as at the end of the financial year. Included in this recoverable, is an accrual amount of approximately US$34,431,000 which were included in other payables.

In 2009, the Group made a purchase of US$15,045,000 for a project (Note 8) and approximately US$2,105,000 of the Group's recoverable remained outstanding and were included in other payables as at year end.

See accompanying notes to financial statements.

NOTES TO

FINANCIAL STATEMENTS

31 AUGUST 2010

1 GENERAL

The Company (Registration No. 200702224N) is incorporated in the Republic of Singapore with its principal place of business and registered office at 15 Hoe Chiang Road, #15-01 Tower Fifteen, Singapore 089316. The Company is listed on the Oslo Børs, Norway. The financial statements are expressed in United States dollars, which is the functional currency of the Company and presentation currency for the consolidated financial statements.

The principal activities of the Company are those of investment holding and provision of ship management services.

The principal activities of the subsidiaries and associate are those of owning and operating offshore construction, accommodation and floating production, storage and offloading units, targeted at the offshore oil and gas industry, which are disclosed in Notes 11 and 12 to the financial statements respectively.

The consolidated financial statements of the Group and statement of financial position as at 31 August 2010 and statement of changes in equity of the Company for the financial year ended 31 August 2010 were authorised for issue by the Board of Directors on 22 November 2010.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

BASIS OF ACCOUNTING - The financial statements have been prepared in accordance with the historical cost basis, except as disclosed in the accounting policies below, and are drawn up in accordance with provisions of the Singapore Companies Act and International Financial Reporting Standards ("IFRS").

ADOPTION OF NEW AND REVISED STANDARDS - In the current financial year, the Group and Company have adopted all the new and revised International Accounting Standards ("IAS") and IFRS issued by the International Accounting Standards Board and the Interpretations thereof issued by the International Financial Reporting Interpretations Committee ("IFRIC") that are relevant to its operations and effective for annual periods beginning on or after 1 September 2009. The adoption of these new/revised Standards and Interpretations does not result in changes to the Group's and Company's accounting policies and has no material effect on the amounts reported for the current or prior years except as disclosed below.

IAS 1– *Presentation of Financial Statements (Revised)*

IAS 1 (Revised) has introduced terminology changes (including revised titles for the financial statements) and changes in the format and content of the financial statements. In addition, the revised Standard requires the presentation of a third statement of financial position at the beginning of the earliest comparative period presented if the entity applies new accounting policies retrospectively or makes retrospective restatements or reclassifies items in the financial statements.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

ADOPTION OF NEW AND REVISED STANDARDS (Cont'd)

IFRS 8 – *Operating Segments*

IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the Group that are regularly reviewed by the chief operating decision maker in order to allocate resources to the segment and to assess its performance. In contrast, the predecessor Standard (IAS 14 *Segment Reporting*) required an entity to identify two sets of segments (Business and Geographical), using a risks and returns approach, with the entity's system of internal financial reporting to key management personnel serving only as the starting point for the identification of such segments.

The management has considered the above and there is no change in the operating segments that were identified on the basis of internal reports that were used by the chief operating decision maker in order to allocate the resources to the segment and in assessing their performance. Accordingly, there has been no change in the Group's reportable segments as a result of the adoption of IFRS 8.

IAS 27 (Revised) *Consolidated and Separate Financial Statements and IFRS 3 (Revised) Business Combinations*

IAS 27 (Revised) is effective for annual periods beginning on or after 1 July 2009. IFRS 3 (Revised) is effective for business combinations for which the acquisition date is on or after the beginning of the first annual financial year beginning on or after 1 July 2009.

Apart from matters of presentation, the principal amendments to IAS 27 that will impact the Group concern the accounting treatment for transactions that result in changes in a parent's interest in a subsidiary. It is likely that these amendments will significantly affect the accounting for such transactions in future accounting periods, but the extent of such impact will depend on the detail of the transactions, which cannot be anticipated. The changes will be adopted prospectively for transactions after the date of adoption of the revised Standard and, therefore, no restatements will be required in respect of transactions prior to the date of adoption.

Similarly, IFRS 3 is concerned with accounting for business combination transactions. The changes to the Standard are significant, but their impact can only be determined once the detail of future business combination transactions is known. The amendments to IFRS 3 will be adopted prospectively for transactions after the date of adoption of the revised Standard and, therefore, no restatements will be required in respect of transactions prior to the date of adoption.

At the date of authorisation of these financial statements, management has considered and anticipated that the adoption of the above Standards, Interpretations and amendments to Standards that were issued but not yet effective until future periods will not have a material impact on the financial statements of the Group and of the Company in the period of their initial adoption, except as follows.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

ADOPTION OF NEW AND REVISED STANDARDS (Cont'd)

IFRS 9 Financial Instruments

In November 2009, the International Accounting Standards Board issued IFRS 9 Financial Instruments under phase 1 of its project to replace IAS 39 Financial Instruments: Recognition and Measurement. The first phase of IFRS 9 introduces new classification and measurement of financial assets which replaced the classification and measurement requirements previously included in IAS 39. IFRS 9 uses a single approach to determine whether a financial asset is measured at amortised cost or fair value, replacing the many different rules in IAS 39. The approach in IFRS 9 is based on how an entity manages its financial instruments (its business model), and the contractual cash flow characteristics of the financial assets.

IAS 24 Related Party Disclosures (Revised)

The revised IAS 24 expands the definition of a related party and would treat two entities as related to each other whenever a person (or a close member of that person's family) or a third party entity has control or joint control over the entity, or has significant influence over the entity. The Group is currently determining the impact the expanded definition has on the disclosure of related party transactions. As this is a disclosure standard, it will have no impact on the financial performance of the Group when implemented.

BASIS OF CONSOLIDATION - The consolidated financial statements incorporate the financial statements of the Company and all the entities controlled by the Company (its subsidiaries). Control is achieved when the Company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

The results of subsidiaries acquired or disposed of during the year are included in the consolidated statement of comprehensive income from the effective date of acquisition or to the effective date of disposal, as appropriate.

Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with those used by other members of the Group.

All intra-group transactions, balances, income and expenses are eliminated on consolidation.

In the Company's financial statements, investments in subsidiaries are carried at cost less any impairment in net recoverable value, if any, that has been recognised in profit or loss.

BUSINESS COMBINATIONS - Acquisitions of subsidiaries and businesses are accounted for using the acquisition method. The consideration for each acquisition is measured at the aggregate of the fair values (at the date of exchange) of assets given, liabilities incurred or assumed, and equity instruments issued by the Group in exchange for control of the acquiree. Acquisition-related costs are recognised in profit or loss as incurred.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

BUSINESS COMBINATIONS (Cont'd)

Where applicable, the consideration for the acquisition includes any asset or liability resulting from a contingent consideration arrangement, measured at its acquisition-date fair value. Subsequent changes in such fair values are adjusted against the cost of acquisition where they qualify as measurement period adjustments (see below). All other subsequent changes in the fair value of contingent consideration classified as an asset or liability are accounted for in accordance with relevant IFRSs. Changes in the fair value of contingent consideration classified as equity are not recognised.

Where a business combination is achieved in stages, the Group's previously held interests in the acquired entity are remeasured to fair value at the acquisition date (i.e. the date the Group attains control) and the resulting gain or loss, if any, is recognised in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are reclassified to profit or loss, where such treatment would be appropriate if that interest were disposed of.

The acquiree's identifiable assets, liabilities and contingent liabilities that meet the conditions for recognition under IFRS 3(2008) are recognised at their fair value at the acquisition date, except that:

- deferred tax assets or liabilities and liabilities or assets related to employee benefit arrangements are recognised and measured in accordance with IAS 12 *Income Taxes* and IAS 19 *Employee Benefits* respectively;

- liabilities or equity instruments related to the replacement by the Group of an acquiree's share-based payment awards are measured in accordance with IFRS 2 *Share-based Payment*; and

- assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5 *Non-current Assets Held for Sale and Discontinued Operations* are measured in accordance with that Standard.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Group reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period (see below), or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed as of the acquisition date that, if known, would have affected the amounts recognised as of that date.

The measurement period is the period from the date of acquisition to the date the Group obtains complete information about facts and circumstances that existed as of the acquisition date – and is subject to a maximum of one year.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

FINANCIAL INSTRUMENTS - Financial assets and financial liabilities are recognised on the Group's statement of financial position when the Group becomes a party to the contractual provisions of the instrument.

Effective interest method

The effective interest method is a method of calculating the amortised cost of a financial instrument and of allocating interest income or expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts or payments (including all fees on points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial instrument, or where appropriate, a shorter period. Income and expense is recognised on an effective interest basis for debt instruments other than those financial instruments recognised "at fair value through profit or loss".

Financial assets

Investments are recognised and de-recognised on a trade date where the purchase or sale of an investment is under a contract whose terms require delivery of the investment within the timeframe established by the market concerned, and are initially measured at fair value, net of transaction costs except for those financial assets classified as at fair value through profit or loss which are initially measured at fair value.

Other financial assets are classified into the following specified categories: financial assets "at fair value through profit or loss" and "loans and receivables". The classification depends on the nature and purpose of financial assets and is determined at the time of initial recognition.

Financial assets at fair value through profit or loss ("FVTPL")

Financial assets are classified as at FVTPL where the financial asset is either held for trading or it is designated as at FVTPL.

A financial asset is classified as held for trading if:

- it has been acquired principally for the purpose of selling in the near future; or
- it is a part of an identified portfolio of financial instruments that the Group manages together and has a recent actual pattern of short-term profit-taking; or
- it is a derivative that is not designated and effective as a hedging instrument.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

Financial assets (Cont'd)

Financial assets at fair value through profit or loss ("FVTPL") (Cont'd)

A financial asset other than a financial asset held for trading may be designated as at FVTPL upon initial recognition if:

- such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- the financial asset forms part of a group of financial assets or financial liabilities or both, which is managed and its performance is evaluated on a fair value basis, in accordance with the Group's documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- it forms part of a contract containing one or more embedded derivatives, and IAS 39 permits the entire combined contract (asset or liability) to be designated as at FVTPL.

Financial assets at fair value through profit or loss are stated at fair value, with any resultant gain or loss recognised in profit or loss. The net gain or loss recognised in profit or loss incorporates any dividend or interest earned on the financial asset. Fair value is determined in the manner described in Note 4 to the financial statements.

Cash and bank balances

Cash and bank balances comprise cash at banks and on hand and fixed deposits and are subject to an insignificant risk of changes in value.

Trade and other receivables

Trade and other receivables that have fixed or determinable payments that are not quoted in an active market are classified as "loans and receivables". Trade and other receivables are measured at amortised cost using the effective interest method less impairment. Interest is recognised by applying the effective interest method, except for short-term receivables when the recognition of interest would be immaterial.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

Financial assets (Cont'd)

Impairment of financial assets

Financial assets, other than those at fair value through profit or loss, are assessed for indicators of impairment at the end of each reporting period. Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows of the investment have been impacted.

For financial assets carried at amortised cost, the amount of the impairment is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the original effective interest rate.

The carrying amount of the financial asset is reduced by the impairment loss directly for all financial assets with the exception of trade and other receivables where the carrying amount is reduced through the use of an allowance account. When a trade or other receivable is uncollectible, it is written off against the allowance account. Subsequent recoveries of amounts previously written off are credited against the allowance account. Changes in the carrying amount of the allowance account are recognised in profit or loss.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment loss was recognised, the previously recognised impairment loss is reversed through profit or loss to the extent the carrying amount of the investment at the date the impairment is reversed does not exceed what the amortised cost would have been had the impairment not been recognised.

Derecognition of financial assets

The Group derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

Financial liabilities and equity instruments

Classification as debt or equity

Financial liabilities and equity instruments issued by the Group are classified according to the substance of the contractual arrangements entered into and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of the Group after deducting all of its liabilities. Equity instruments are recorded at the proceeds received, net of direct issue costs.

Other financial liabilities

Trade, other and loan payables are initially measured at fair value, net of transaction costs, and are subsequently measured at amortised cost, using the effective interest method, with interest expense recognised on an effective yield basis.

Interest-bearing bank loans are initially measured at fair value, and are subsequently measured at amortised cost, using the effective interest method. Any difference between the proceeds (net of transaction costs) and the settlement or redemption of borrowings is recognised over the term of the borrowings in accordance with the Group's accounting policy for borrowing costs (see below).

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument. A financial guarantee contract issued by the Group and not designated as at fair value through profit or loss is recognised initially at its fair value less transaction costs that are directly attributable to the issue of the financial guarantee contract. Subsequent to initial recognition, the Company measures the financial guarantee contract at higher of: (i) the amount determined in accordance with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*; and (ii) the amount initially recognised less, when appropriate, cumulative amortisation recognition in accordance with IAS 18 *Revenue*.

Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or expired.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

Financial liabilities and equity instruments (Cont'd)

Derivative financial instruments and hedge accounting

The Group enters into a variety of derivative financial instruments to manage its exposure to interest rate risk associated with its variable rates borrowings. Further details of derivative financial instruments are disclosed in Note 9 to the financial statements.

Derivatives are initially recognised at fair value at the date a derivative contract is entered into and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in profit or loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in profit or loss depends on the nature of the hedge relationship. The Group designates the derivatives as hedges of highly probable forecast transactions.

A derivative is presented as a non-current asset or a non-current liability if the remaining maturity of the instrument is more than 12 months and it is not expected to be realised or settled within 12 months. Other derivatives are presented as current assets or current liabilities.

Hedge accounting

The Group designates certain hedging instruments as cash flow hedges. At the inception of the hedge relationship, the Group documents the relationship between the hedging instrument and hedged item, along with its risk management objectives and its strategy for undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the Group documents whether the hedging instrument that is used in a hedging relationship is highly effective in offsetting changes in cash flows of the hedged item.

Note 9 to the financial statements contain details of the fair values of the derivative instruments used for hedging purposes. Movements in the hedging reserve are also detailed in other comprehensive income.

Cash flow hedge

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges are recognised in other comprehensive income. The gain or loss relating to the ineffective portion is recognised immediately in profit or loss as part of other gains and losses.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

Financial liabilities and equity instruments (Cont'd)

Cash flow hedge (Cont'd)

Amounts recognised in other comprehensive income and accumulated in equity are reclassified to profit or loss in the periods when the hedged item is recognised in profit or loss in the same line of the statement of comprehensive income as the recognised hedged item. However, when the forecast transaction that is hedged results in the recognition of a non-financial asset or a non-financial liability, the gains and losses previously accumulated in equity are transferred from equity and included in the initial measurement of the cost of the asset or liability.

Hedge accounting is discontinued when the Group revokes the hedging relationship, the hedging instrument expires or is sold, terminated, or exercised, or no longer qualifies for hedge accounting. Any gain or loss accumulated in equity at that time remains in equity and is recognised when the forecast transaction is ultimately recognised in profit or loss, such gains and losses are recognised in profit or loss, or transferred from equity and included in the initial measurement of the cost of the asset or liability as described above. When a forecast transaction is no longer expected to occur, the cumulative gain or loss that was accumulated in equity is recognised immediately in profit or loss.

CONSTRUCTION CONTRACTS - Where the outcome of a construction contract can be estimated reliably, revenue and costs are recognised by reference to the stage of completion of the contract activity at the end of the reporting period, as measured by the proportion that contract costs incurred for work performed to date relative to the estimated total contract costs, except where this would not be representative of the stage of completion. Variations in contract work, claims and incentive payments are included to the extent that the amount can be measured reliably and its receipt is considered probable.

Where the outcome of a construction contract cannot be estimated reliably, contract revenue is recognised to the extent of contract costs incurred that it is probable will be recoverable. Contract costs are recognised as expenses in the period in which they are incurred.

When it is probable that total contract costs will exceed total contract revenue, the expected loss is recognised as an expense immediately.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

LEASES - Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

The Group as lessor

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease unless another systematic basis is more representative of the time pattern in which use benefit derived from the leased asset is diminished. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight-line basis over the lease term.

The Group as lessee

Rentals payable under operating leases are charged to profit or loss on a straight-line basis over the term of the relevant lease unless another systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed. Contingent rentals arising under operating leases are recognised as an expense in the period in which they are incurred.

In the event that lease incentives are received to enter into operating leases, such incentives are recognised as a liability. The aggregate benefit of incentives is recognised as a reduction of rental expense on a straight-line basis, except where another systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

PROPERTY, PLANT AND EQUIPMENT - Property, plant and equipment is stated at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is charged so as to write off the cost of property, plant and equipment, other than vessels under construction, over their estimated useful lives, using the straight-line method, on the following bases:

Motor vehicles	-	5 years
Furniture, fittings and office equipment	-	3 years
Plant and machinery	-	5 years
Vessels	-	20 to 25 years
Dry-docking costs	-	5 years

The estimated useful lives, residual values and depreciation method are reviewed at each year end, with the effect of any changes in estimate accounted for on a prospective basis.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

PROPERTY, PLANT AND EQUIPMENT (Cont'd)

Vessels and other assets under construction are stated at cost. These costs include all progress billings received in accordance with the construction contracts, equipment costs, installation costs and commissioning costs, interest charges arising from borrowings used to finance the construction and other direct costs. Vessels and other assets under construction are not depreciated until such time they are completed and available for operational use.

Fully depreciated assets still in use are retained in the financial statements.

The gain or loss arising on disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amounts of the asset and is recognised in profit or loss.

Drydocking expenses, when incurred, will be capitalised and amortised on a straight-line basis over the years to the next drydocking date.

IMPAIRMENT OF NON-FINANCIAL ASSETS - At the end of each reporting period, the Group reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss.

Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in the profit or loss.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

ASSOCIATE - An associate is an entity over which the Group has significant influence and that is neither a subsidiary nor an interest in a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The results and assets and liabilities of associates are incorporated into the consolidated financial statements using the equity method of accounting. Under the equity method, investment in an associate is carried in the statement of financial position at cost adjusted for post-acquisition changes in the Group's share of the net assets of the associate, less any impairment in the value of investment. Losses of an associate in excess of the Group's interest in that associate (which includes any long-term interests that, in substance, form part of the Group's net investment in the associate) are not recognised.

Any excess of the cost of acquisition over the Group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities of the associate recognised at the date of acquisition is recognised as goodwill. The goodwill is included within the carrying amount of the investment in associate and is assessed for impairment as part of the investment. Any excess of the group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities over the cost of acquisition, after reassessment, is recognised immediately in profit or loss.

Where a Group entity transacts with an associate of the Group, the profits and losses are eliminated to the extent of the Group's interest in the relevant associate.

PROVISIONS - Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that the Group will be required to settle that obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, the receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

REVENUE RECOGNITION - Revenue is measured at the fair value of the consideration received or receivable. Revenue is reduced for estimated customer returns and other similar allowances.

Revenue from charter hire

Revenue from charter hire is recognised on an accrual basis but is deferred when the terms of billing have not been agreed by third parties or when certain conditions necessary for realisation are yet to be fulfilled. Vessel charter income is recognised on a time apportionment basis in accordance to the terms and conditions of the charter agreement.

Interest income

Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable.

Construction revenue

Construction revenue and contract costs are recognised as revenue and expenses respectively by reference to the stage of completion of the contract activity at the end of the reporting period, when the outcome of a construction contract can be estimated reliably, contract revenue is recognised to the extent of contract costs incurred that are likely to be recoverable and contract costs are recognised as expense in the period in which they are incurred. An expected loss on the construction contract is recognised as an expense immediately when it is probable that total contract costs will exceed total contract revenue.

Contract revenue comprises the initial amount of revenue agreed in the contract and variations in contract work, claims and incentive payments to the extent that it is probable that they will result in revenue and they are capable of being reliably measured.

The stage of completion is determined by reference to the proportion that contract costs incurred for work performed to date bear to the estimated total contract costs.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

BORROWING COSTS - Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred.

RETIREMENT BENEFIT COSTS - Payments to defined contribution retirement benefit plans are charged as an expense as they fall due. Payments made to state-managed retirement benefit schemes, such as the Singapore Central Provident Fund, are dealt with as payments to defined contribution plans where the Group's obligations under the plans are equivalent to those arising in a defined contribution retirement benefit plan.

EMPLOYEE LEAVE ENTITLEMENT - Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave as a result of services rendered by employees up to the end of the reporting period.

GOVERNMENT GRANTS - Government grants are not recognised until there is reasonable assurance that the Group will comply with the conditions attaching to them and the grants will be received. Government grants whose primary condition is that the Group should purchase, construct or otherwise acquire non-current assets are recognised as deferred income in the statement of financial position and transferred to profit or loss on a systematic and rational basis over the useful lives of the related assets.

Other government grants are recognised as income over the periods necessary to match them with the costs for which they are intended to compensate, on a systematic basis. Government grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Group with no future related costs are recognised in profit or loss in the period in which they become receivable.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

INCOME TAX - Income tax expense represents the sum of the tax currently payable and deferred tax.

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the statement of comprehensive income because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are not taxable or tax deductible. The Group's liability for current tax is calculated using tax rates (and tax laws) that have been enacted or substantively enacted in countries where the Company and its subsidiaries operate by the end of the reporting period.

Deferred tax is recognised on differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit, and are accounted for using the balance sheet liability method. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be removed.

Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset realised based on the tax rates (and tax laws) that have been enacted or substantively enacted by the end of each reporting period.

Current and deferred tax are recognised as an expense or income in profit or loss, except when they relate to items credited or debited outside profit or loss (either in other comprehensive income or directly in equity), in which case the tax is also recognised directly outside profit or loss (either in other comprehensive income or directly in equity, respectively), or where they arise from the initial accounting for a business combination. In the case of a business combination, the tax effect is taken into account in calculating goodwill or determining the excess of the acquirer's interest in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities over cost.

FOREIGN CURRENCY TRANSACTIONS AND TRANSLATION - The individual financial statements of each group entity are measured and presented in the currency of the primary economic environment in which the entity operates (its functional currency). The consolidated financial statements of the Group and the statement of financial position and statement of changes in equity of the Company are presented in United States dollars, which is the functional currency of the Company, and the presentation currency for the consolidated financial statements.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont'd)

FOREIGN CURRENCY TRANSACTIONS AND TRANSLATION (Cont'd)

In preparing the financial statements of the individual entities, transactions in currencies other than the entity's functional currency are recorded at the rate of exchange prevailing on the date of the transaction. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing on the end of the reporting period. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences arising on the settlement of monetary items, and on retranslation of monetary items are included in profit or loss for the period. Exchange differences arising on the retranslation of non-monetary items carried at fair value are included in profit or loss for the period except for differences arising on the retranslation of non-monetary items in respect of which gains and losses are recognised directly in other comprehensive income. For such non-monetary items, any exchange component of that gain or loss is also recognised in other comprehensive income.

For the purpose of presenting consolidated financial statements, the assets and liabilities of the Group's foreign operations (including comparatives) are expressed in United States dollars using exchange rates prevailing on the end of the reporting period. Income and expense items (including comparatives) are translated at the average exchange rates for the period, unless exchange rates fluctuated significantly during that period, in which case the exchange rates at the dates of the transactions are used. Exchange differences arising, if any, are recognised in other comprehensive income and accumulated in a separate component of equity.

On disposal of a foreign operation (i.e. disposal of the Group's entire interest in a foreign operation, or a disposal involving loss of control over a subsidiary that includes a foreign operation), all of the accumulated exchange differences in respect of that operation attributable to the Group are reclassified to profit or loss. Any exchange differences that have been previously been attributed to non-controlling interests are derecognised, but they are not reclassified to profit or loss.

Goodwill and fair value adjustments arising on the acquisition of a foreign operation are treated as assets and liabilities at the foreign operation and translated at the closing rate.

CASH AND CASH EQUIVALENTS - Cash and cash equivalents comprise cash on hand and at banks, fixed deposits maturity within three months and short-term, highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

3 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the application of the Group's accounting policies, which are described in Note 2, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

i) Critical judgements in applying the Group's accounting policies

Management is of the opinion that any instances of application of judgements (other than those arising from estimates discussed below) are not expected to have a significant effect on the amounts recognised in the financial statements.

ii) Key sources of estimation uncertainty

The key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the financial year, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are discussed below.

Estimated useful lives of vessels

Vessels are depreciated on a straight-line basis over their estimated useful lives. The estimated useful lives reflect the management's estimate of the periods that the Group intends to derive future economic benefits from the use of vessels. Changes in the business plans and strategies, expected level of usage and future technological developments could impact the economic useful lives and the residual values of these assets, therefore future depreciation charges could be revised. The carrying amount of the Group's vessels is disclosed in Note 10 to the financial statements.

Impairment of property, plant and equipment

The Group assesses annually whether its property, plant and equipment exhibit any indication of impairment. In instances where there are indicators of impairment, the recoverable amounts of property, plant and equipment have been determined based on market valuations obtained from professional valuers or value-in-use calculations. The carrying amounts of the Group's property, plant and equipment are disclosed in Note 10 to the financial statements.

3 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY (Cont'd)

Income taxes

The Group has exposure to income tax in numerous jurisdictions. Significant judgement is involved in determining the group-wide provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for expected tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the year in which such determination is made. The carrying amount of the Group's tax payables as at 31 August 2010 was US$1,650,000 (2009 : US$642,000).

4 FINANCIAL INSTRUMENTS, FINANCIAL RISKS AND CAPITAL RISKS MANAGEMENT

(a) Categories of financial instruments

The following table sets out the financial instruments as at the end of the financial year:

	Group		Company	
	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
Financial assets				
Loans and receivables (including cash and cash equivalents)	162,889	126,843	131,471	123,046
Derivative financial instruments in designated hedge accounting relationship	*	4	–	–
Fair value through profit or loss	1	16	–	–
Total	162,890	126,863	131,471	123,046

* *Amount less than US$1,000*

4 FINANCIAL INSTRUMENTS, FINANCIAL RISKS AND CAPITAL RISKS MANAGEMENT (Cont'd)

(a) Categories of financial instruments (Cont'd)

	Group		Company	
	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
Financial liabilities				
Borrowing and payables, at amortised cost	497,510	464,614	77,476	69,375
Derivative financial instruments in designated hedge accounting relationship	504	363	–	–
Fair value through profit or loss	2,149	1,453	–	–
Total	500,163	466,430	77,476	69,375

(b) Financial risk management objectives and policies

The main risks arising from the Group's financial instruments are credit risk, liquidity risk, interest rate risk and foreign currency risk. The Group's practice is to minimise potential adverse effects on the Group's financial performance. The Group uses derivative financial instruments such as interest rate derivative contracts to hedge underlying risk exposures and the transactions are not entered into for speculative purposes. The Group's accounting policies in relation to the derivative financial instruments are set out in Note 2 to the financial statements.

There has been no change to the Group's exposure to these financial risks on the manner in which it manages and measures the risk. Market risk exposures are measured using sensitivity analysis indicated below:

(i) Credit risk management

Credit risk is the potential financial loss resulting from the failure of a customer or a counterparty to settle its financial and contractual obligations when due.

The Group has established credit limits for creditworthy customers. These debts are continually monitored and therefore, the Group does not expect to incur material credit losses. It is the Group's policy that all customers who wish to trade on credit terms are subject to credit verification procedures.

4 FINANCIAL INSTRUMENTS, FINANCIAL RISKS AND CAPITAL RISKS MANAGEMENT (Cont'd)

(b) Financial risk management objectives and policies (Cont'd)

(i) Credit risk management (Cont'd)

The carrying amounts of the financial assets represent the Group's maximum exposure to credit risk. No other financial assets carry a significant exposure to credit risk.

Receivables that are past due but not impaired

The Group has trade receivables amounting to US$13,576,000 (2009 : US$10,352,000) that are past due at the end of the financial year but not impaired. These receivables are unsecured and the analysis of their aging at the end of the financial year is as follows:

	Group	
	2010 US$'000	2009 US$'000
Trade receivables past due but not impaired:		
Lesser than 60 days	5,988	7,852
60 to 120 days	3,208	1,293
121 to 365 days	3,246	160
1 year to 2 years	87	1,047
> 2 years	1,047	–
Total	13,576	10,352

Financial assets that are neither past due nor impaired

Trade and other receivables that are neither past due nor impaired are creditworthy debtors with good payment record with the Group. Fixed deposits and cash and bank balances are placed with reputable financial institutions. Management believes that the financial institutions that hold the Group's assets are sound and accordingly, minimum credit risk exists with respect to these assets.

4 FINANCIAL INSTRUMENTS, FINANCIAL RISKS AND CAPITAL RISKS MANAGEMENT (Cont'd)

(b) Financial risk management objectives and policies (Cont'd)

(i) Credit risk management (Cont'd)

Exposure to credit risk

Approximately 33% (2009 : 12%) of the Group's financial assets are amounts due from an associate (2009 : related parties within the Ezra Group of Companies).

At the end of the financial year, the Group's maximum exposure to credit risk is represented by the carrying amount of each class of financial assets recognised in the statement of financial position.

Credit risk concentration profile

The Group determines concentrations of credit risk by monitoring the country of its trade receivables on an on-going basis. The credit risk concentration profile of the Group's trade receivables at the end of the financial year is as follows:

	2010		2009	
	US$'000	% of total	US$'000	% of total
Singapore	1,023	3.9	3,734	13.0
Vietnam	1,324	5.1	–	–
Thailand	13,131	50.4	4,521	15.7
Malaysia	10,561	40.6	20,498	71.3
Total	26,039	100.0	28,753	100.0

4 FINANCIAL INSTRUMENTS, FINANCIAL RISKS AND CAPITAL RISKS MANAGEMENT (Cont'd)

(b) Financial risk management objectives and policies (Cont'd)

(ii) Liquidity risk management

Liquidity risk is the risk that the Group will encounter difficulty in meeting financial obligations due to shortage of funds. The Group's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities.

Liquidity analysis

Non-derivative financial liabilities

The following table details the remaining contractual maturity for non-derivative financial liabilities. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Group and Company can be required to pay. The table does not include future contractual interest cost of which the contracted rates are disclosed in Note 13 to the financial statements.

	Weighted average effective interest rate %	On demand or less than 1 year US$'000	Within 2 to 5 years US$'000	More than 5 years US$'000	Total US$'000
Group					
2010					
Non-interest bearing	–	67,754	–	–	67,754
Variable interest rate	2.50	90,404	232,680	106,672	429,756
Total		158,158	232,680	106,672	497,510
2009					
Non-interest bearing	–	53,404	–	–	53,404
Variable interest rate	3.14	48,032	234,057	129,121	411,210
Total		101,436	234,057	129,121	464,614

4 FINANCIAL INSTRUMENTS, FINANCIAL RISKS AND CAPITAL RISKS MANAGEMENT (Cont'd)

(b) Financial risk management objectives and policies (Cont'd)

(ii) Liquidity risk management (Cont'd)

Liquidity analysis (Cont'd)

Non-derivative financial liabilities (Cont'd)

	Weighted average effective interest rate %	On demand or less than 1 year US$'000	Within 2 to 5 years US$'000	More than 5 years US$'000	Total US$'000
Company					
2010					
Non-interest bearing	–	39,676	–	–	39,676
Variable interest rate	3.84	–	11,560	26,240	37,800
Total		39,676	11,560	26,240	77,476
2009					
Non-interest bearing	–	36,575	–	–	36,575
Variable interest rate	3.20	–	6,560	26,240	32,800
Total		36,575	6,560	26,240	69,375

Non-derivative financial assets

Substantially all financial assets of the Group and Company are on demand or due within one year and are non-interest bearing except for recoverable from an associate amounting US$42,164,000 (2009 : US$Nil) as disclosed in Note 8 to the financial statements, and cash and bank balances where interest earned is minimal.

4 FINANCIAL INSTRUMENTS, FINANCIAL RISKS AND CAPITAL RISKS MANAGEMENT (Cont'd)

(b) Financial risk management objectives and policies (Cont'd)

(ii) Liquidity risk management (Cont'd)

Liquidity analysis (Cont'd)

Derivative financial instruments

The Group's derivative instruments comprise interest rate cap contracts, swaps and swaptions with estimated net cash outflows of US$2,652,000 (2009 : US$1,796,000) due within 1 to 3 years (2009 : 2 to 4 years). Further details of these instruments can be found in Note 9 to the financial statements.

Management of liquidity risk

The Group's cash and short term deposits, operating cash flows, availability of banking facilities and debt maturity profile are managed to ensure adequate working capital requirements and that repayment and funding needs are met. In addition, the Group monitors and maintains a level of cash and bank balances deemed adequate to finance the Group's operations and mitigate the effects of fluctuations in cash flows. Undrawn facilities are disclosed in Note 13 to the financial statements.

On a strategic level, the Group managed the liquidity needs by matching the cash requirements for loan repayment and cash flow from operations, mainly from the Group's two main operating division namely, construction division and production division. Typical terms of the Group's charter may vary from few months to few years (as long as five years). These charter contracts also provide for an option for the Group's customer to extend the charter term.

As at the end of the financial year, all the Group's vessels are chartered out. Further information on the charter is disclosed in Note 27(b) to the financial statements. The Group expects that the cash flow from operations, together with the banking facilities will be sufficient to fund the Group's anticipated capital expenditure and working capital needs.

4 FINANCIAL INSTRUMENTS, FINANCIAL RISKS AND CAPITAL RISKS MANAGEMENT (Cont'd)

(b) Financial risk management objectives and policies (Cont'd)

(iii) Interest rate risk management

Interest rate risk is the risk that the fair value or future cash flows of the Group's financial instruments will fluctuate because of changes in market interest rates.

The Group's interest rate exposure relates primarily to its bank loans as detailed in Note 13 to the financial statements. The Group's policy is to manage its interest cost using a mix of fixed and variable rate debt. To maintain this mix in a cost effective manner, the Group primarily uses interest rate derivative contracts that have the effect of capping the interest rate for specific debt obligations of the Group. In negotiation for favourable pricing of these contracts, the Group may sell swaptions contracts to the counter party or the rate for such caps may be stepped up.

Additional information relating to the Group's interest rate exposure is also disclosed below and in the notes relating to its borrowings.

Surplus funds are placed with reputable banks.

Sensitivity analysis for interest rate risk

At the end of the financial year, if USD interest rates had been 20 (2009 : 20) basis points lower/higher with all other variables held constant, the Group's profit net of tax would have been US$713,000 (2009 : US$691,000) higher/lower, arising mainly as a result of lower/higher interest income from fixed deposits and lower/higher interest expense on floating rate loans and borrowings from banks and related party.

(iv) Foreign currency risk management

The Group has exposure to foreign exchange risk as a result of transactions denominated in foreign currencies, arising from charter hire income and foreign crew's salary expenses. It is the Group's policy to hedge these risks through foreign currency forward exchange contracts, if material. The primary purpose of the Group's foreign currency hedging activities is to protect against the volatility associated with foreign currency liabilities created in the normal course of business.

4 FINANCIAL INSTRUMENTS, FINANCIAL RISKS AND CAPITAL RISKS MANAGEMENT (Cont'd)

(b) Financial risk management objectives and policies (Cont'd)

(iv) Foreign currency risk management (Cont'd)

The Group is exposed to foreign currency risk on purchases that are denominated in a currency other than United States dollars. The currencies giving rise to this risk are primarily Singapore Dollars ("SGD") and Great Britain Pound ("GBP").

At the end of the financial year, the carrying amounts of monetary assets and monetary liabilities denominated in currencies other than the respective Group entities' functional currencies are as follows:

	Group				Company			
	Liabilities		Assets		Liabilities		Assets	
	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
SGD	12,873	5,141	2,949	1,019	3	3	161	32
GBP	4,656	504	131	266	–	–	–	–
Others	2,629	13,921	823	185	–	–	–	–

Sensitivity analysis for foreign currency risk

The following table details the sensitivity to a 3% increase in the United States dollar against the relevant foreign currencies. 3% is the sensitivity rate used when reporting foreign currency risk internally to key management personnel and represents management's assessment of the possible change in foreign exchange rates. The sensitivity analysis includes only outstanding foreign currency denominated monetary items adjusted for their translation at the financial year end for a 3% change in foreign currency rates. The sensitivity analysis includes external loans where the denomination of the loan is in a currency other than the currency of the lender or the borrower. A positive number below indicates an increase in profit or loss where the United States dollar strengthens against the relevant currency.

4 FINANCIAL INSTRUMENTS, FINANCIAL RISKS AND CAPITAL RISKS MANAGEMENT (Cont'd)

(b) Financial risk management objectives and policies (Cont'd)

(iv) Foreign currency risk management (Cont'd)

Sensitivity analysis for foreign currency risk (Cont'd)

	Singapore Dollar impact		Great Britain Pound impact		Others impact	
	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
Group						
Profit for the year	298	124	136	7	54	412
Company						
Profit for the year	(5)	(1)	–	–	–	–

For a 3% weakening of the United States dollar against the relevant currency, there would be an equal and opposite impact on the profit.

(v) Cash flow hedge

As at 31 August 2010, the Group held five (2009 : five) interest rate derivative contracts, out of which, three (2009 : three) had been designated as cash flow hedges of the Group's interest payments in respect of its bank borrowings with a remaining notional value of US$65,250,000 (2009 : US$67,800,000) undertaken by the Group.

The interest rate derivative contract covers the respective cash flows of interest charges payable to the banks from October 2004 to July 2011 (2009 : October 2004 to July 2011).

As at 31 August 2010, the fair values of these derivative contracts amounting to US$1,000 (2009 : US$20,000) were recorded as derivative assets and US$2,653,000 (2009 : US$1,816,000) were recorded as derivative liabilities in the statement of financial position of the Group, out of which US$504,000 (liability) [2009 : US$363,000 (liability)] relates to interest rate derivative designated as cash flow hedges. The fair value changes of US$145,000 (2009 : US$381,000) were recognised under hedging reserves in equity.

The terms of these contracts have been negotiated to match the terms of the bank term loans.

4 FINANCIAL INSTRUMENTS, FINANCIAL RISKS AND CAPITAL RISKS MANAGEMENT (Cont'd)

(b) Financial risk management objectives and policies (Cont'd)

(vi) Fair values of financial assets and financial liabilities

The management considers that the carrying amounts of cash and cash equivalents, trade and other current receivables, payables and other liabilities approximate their respective fair values due to the relatively short-term maturity of these financial instruments. The fair values of other classes of financial assets and liabilities are disclosed in the respective notes to financial statements.

The Group classifies fair value measurements using a fair value hierarchy that reflects the significance of the inputs used in making the measurements. The fair value hierarchy has the following levels:

(a) quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1);

(b) inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices) (Level 2); and

(c) inputs for the asset or liability that are not based on observable market data (unobservable inputs) (Level 3).

The Group's derivative financial instruments as disclosed in Note 9 to the financial statements is classified as Level 2. There were no transfers between the different levels of the fair value hierarchy during the financial year.

(c) Capital risk management policies and objectives

The primary objectives of the Group's capital management are to maintain a healthy capital ratio in order to support its business and maximises shareholder value and to safeguard the Group's ability to continue as a going concern.

The capital structure of the Group consists of net debts, which includes the borrowings less cash and bank balances and fixed deposits and equity attributable to equity holders of the Company, comprising share capital, hedging reserves, restructuring deficit and accumulated profits.

The Group manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may issue new shares, buy back issued shares, obtain new borrowings or reduce its borrowings.

4 FINANCIAL INSTRUMENTS, FINANCIAL RISKS AND CAPITAL RISKS MANAGEMENT (Cont'd)

(c) Capital risk management policies and objectives (Cont'd)

The Group's management reviews the capital structure on an on-going basis. As part of this review, the management considers the cost of capital and the risks associated with each class of capital. The Group monitors capital using a gearing ratio as noted below, which is net debts divided by net capital, to comply with the loan covenants imposed by the banks. Debt is defined as interest-bearing bank borrowings including premium payable of US$Nil (2009 : US$208,000) less cash and bank balance and fixed deposits. Net capital includes equity attributable to owners of the Company and reserves less intangible assets. Based on the recommendations of the management, the Group will balance its overall capital structure through the payment of dividends and new share issues as well as the issue of new debt and repayment of existing debt. The Group is in compliance with externally imposed capital requirements.

The Group's overall strategy remains unchanged from prior year.

	Group	
	2010	2009
Net debts (US$'000)	310,867	303,113
Net capital (US$'000)	151,814	131,206
Gearing ratio (times)	2.05	2.31

5 RELATED PARTY TRANSACTIONS

Related parties are entities with common direct or indirect shareholders and/or directors. Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions.

A related party is defined as a company, not being a subsidiary, in which the directors and shareholders of the Company have an equity interest or exercise significant influence over.

5 RELATED PARTY TRANSACTIONS (Cont'd)

Some of the Group's transactions and arrangements are with related parties and the effect of these on the bases determined between the parties is reflected in the financial statements. The balances are unsecured, interest-free and repayable on demand unless otherwise stated.

i) Significant related parties transactions:

	Group	
	2010 US$'000	2009 US$'000
Income to the Group		
Charter revenue from related parties	4,340	2,761
Sale of goods to related parties	–	139
Interest income from an associate	1,062	–
Management fee income from an associate	550	–
Vessel operating income from related parties	1,972	9,003
Expenses to the Group		
Charter expenses charged by related parties	9,765	11,311
Interest charged by a related party	873	1,049
Management fees charged by related party	635	625
Purchase of equipment from related parties	38	3,836
Rental expense charged by a related party	938	579
Vessel operating expenses charged by related parties	4,553	3,918

ii) Compensation of directors and key management personnel

The remuneration of directors and other members of key management during the financial year was as follows:

	Group	
	2010 US$'000	2009 US$'000
Short-term benefits	2,481	2,552
Post-employment benefits	18	14
Directors' fees	180	180

6 CASH AND BANK BALANCES

	Group		Company	
	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
Fixed deposits	62,677	62,078	–	–
Cash and bank balances	18,412	13,427	23	37
Total	81,089	75,505	23	37
Less: Restricted cash/charged accounts	(68,517)	(62,808)	–	–
Cash and cash equivalents	12,572	12,697	23	37

The fixed deposits earn interest at floating rates, based on daily bank deposit rates ranging from 0.01% to 2.70% (2009 : 0.05% to 4.63%) per annum and a tenure of approximately 14 days to 3 months (2009 : 7 days to 3 months).

Bank balances and fixed deposits amounting to US$68,517,000 (2009 : US$62,808,000), which are either restricted in use or charged over the monies held in the operating accounts, have been placed in connection with the credit facility granted (Note 13).

The above balances that are not denominated in the functional currencies of the respective entities are as follows:

	Group		Company	
	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
Great Britain Pounds	131	258	–	–
Australian Dollars	72	101	–	–
Singapore Dollars	2,636	462	8	22
Euro	37	61	–	–
Thai Baht	682	3	–	–

7 TRADE RECEIVABLES

	Group	
	2010 US$'000	2009 US$'000
Outside parties	26,039	20,047
Related parties (Note 5)	–	8,706
Total	26,039	28,753

The average credit period is 30 to 45 days (2009 : 30 to 45 days). No interest is charged on the outstanding trade receivables except that in 2009, a 2% interest per month was charged on outstanding overdue receivables from a customer, which was fully received as at 31 August 2009.

Included in the Group's trade receivable balance are debtors with a carrying amount of US$13,756,000 (2009 : US$10,352,000) which are past due at the end of financial year for which the Group has not provided doubtful debts as there has not been a significant change in credit quality and the amounts are still considered recoverable. The Group does not hold any collateral over these balances.

In determining the recoverability of a trade receivable, the Group considers any change in the credit quality of the trade receivable from the date credit was initially granted up to the reporting date. Accordingly, the management believes that no allowance for doubtful debts is required.

The table below is an analysis of trade receivables as at the end of the financial year.

	Group	
	2010 US$'000	2009 US$'000
Not past due and not impaired	12,463	18,401
Past due and not impaired	13,576	10,352
Total	26,039	28,753

The Company's trade receivables are denominated in its functional currency.

8 OTHER RECEIVABLES, DEPOSITS AND PREPAYMENTS

	Group		Company	
	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
Related parties (Note 5)	7	6,179	–	–
Subsidiaries (Note 11b)	–	–	131,295	122,999
Recoverable				
Associate (Note 12)	53,239	–	–	–
Others	–	15,841	–	–
Prepayments	3,991	2,974	–	15
Goods and Services Tax receivables	2,069	270	43	10
Deposits	316	288	–	–
Others	130	7	110	–
Total	59,752	25,559	131,448	123,024

The recoverable from an associate represents advance payment for a project which is interest free, repayable on demand and unsecured except for US$42,164,000 (2009 : Nil) which bears interest at 8% per annum. As of 22 October 2010, an amount of US$29,000,000 has been recovered.

In 2009, recoverable from others represented advance payments for the above project to be recovered from a company in which the Company subsequently takes an associate interest in.

The above balances that are not denominated in the functional currencies of the respective entities are as follows:

	Group		Company	
	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
Singapore Dollars	313	557	153	10
Malaysia Ringgit	–	19	–	–
Great Britain Pounds	–	8	–	–
Thai Baht	32	1	–	–

9 DERIVATIVE FINANCIAL INSTRUMENTS

	Group	
	2010 US$'000	2009 US$'000
Interest rate cap contracts (i)	1	20
Interest rate swaps and swaptions (ii)	(2,653)	(1,816)
Net	(2,652)	(1,796)
Presentated as:		
Current assets	1	20
Current liabilities	(2,653)	(1,816)
Net	(2,652)	(1,796)

(i) The Group purchases interest rate cap contracts to hedge the interest rate risk exposure arising from its variable rate bank loans (Note 13). As at the end of the financial year, the Group has the following outstanding interest rate cap contracts.

Year	Notional amount	Maturity	Interest rate caps
2010	US$9,189,000	2011 – 2013	Cap 4.5% step-up to 5.5%
2009	US$12,901,000	2011 - 2013	Cap 4.5% step-up to 5.5%

(ii) The Group enters into interest rate swaps and swaptions to manage its exposure to interest rate movements on its bank borrowings by swapping a proportion of those borrowings from floating rates to fixed rates. As at the end of the financial year, the Group has interest rate swap agreements (2009 : interest rate swap and swaption agreements) with notional amount totalling US$80,000,000 (2009 : US$80,000,000). Contracts require interest payments at rate ranging from 1.43% to 4.45% (2009 : 1.43 to 2.80%) per annum for periods up until 30 June 2013.

The terms of these contracts have been negotiated to match the terms of the bank loans (Note 13). The fair values of the contracts have been calculated using bank quotes and other inputs based on market related data and the rates quoted by the Group's banks to terminate the contracts as at the end of the financial year.

10 PROPERTY, PLANT AND EQUIPMENT

	Motor vehicles US$'000	Furniture, fittings and office equipment US$'000	Plant and machinery US$'000	Vessels US$'000	Dry-docking costs US$'000	Vessels under construction US$'000	Total US$'000
Group							
Cost:							
At 1 September 2008	82	302	749	171,579	–	208,200	380,912
Additions	22	27	211	–	3,836	103,705	107,801
At 31 August 2009	104	329	960	171,579	3,836	311,905	488,713
Additions	–	168	–	–	38	13,390	13,596
Adjustment	–	–	(22)	–	–	–	(22)
Reclassification	–	–	–	325,295	–	(325,295)	–
At 31 August 2010	104	497	938	496,874	3,874	–	502,287
Accumulated depreciation:							
At 1 September 2008	20	23	25	11,656	–	–	11,724
Charge	22	109	175	7,358	384	–	8,048
At 31 August 2009	42	132	200	19,014	384	–	19,772
Charge	20	137	188	22,266	778	–	23,389
At 31 August 2010	62	269	388	41,280	1,162	–	43,161
Carrying amount:							
At 31 August 2010	42	228	550	455,594	2,712	–	459,126
At 31 August 2009	62	197	760	152,565	3,452	311,905	468,941

(a) Vessels under construction are not depreciated until such time they are completed and are ready for their intended use. Included in additions to the cost of vessels under construction were borrowing cost arising from borrowings used to finance their construction amounting to approximately US$424,000 (2009 : US$3,989,000).

(b) The vessels under construction and vessels are pledged in connection with the bank loans facilities granted by financial institutions (Note 13).

11 SUBSIDIARIES

(a) Investment in subsidiaries

	Company 2010 US$'000	Company 2009 US$'000
Unquoted equity shares, at cost	42,241	42,241

Details of the subsidiaries are as follows:

Name of subsidiary	Country of incorporation	Effective equity interest and voting power 2010 %	Effective equity interest and voting power 2009 %	Principal activities
Emas Offshore Construction and Production Pte Ltd	Singapore	100	100	Provision of ship management services and ship and boat leasing with operator (including chartering)
Lewek Champion Shipping Pte Ltd	Singapore	100	100	Ship owner and provision of ship chartering services
Lewek Chancellor Shipping Pte Ltd	Singapore	100	100	Ship owner and provision of ship chartering services
Lewek Conqueror (BVI) Ltd	British Virgin Islands	100	100	Ship owner and provision of ship chartering services
Lewek Emerald Shipping Pte Ltd	Singapore	100	100	Ship owner and provision of ship chartering services
Lewek Eversure Shipping Pte Ltd	Singapore	100	100	Investment holding
Lewek Evershine Shipping Pte Ltd	British Virgin Islands	100	100	Dormant
Lewek Everglory Shipping Pte Ltd	Singapore	–	100	Dormant

11 SUBSIDIARIES (Cont'd)

(a) Investment in subsidiaries (Cont'd)

Name of subsidiary	Country of incorporation	Effective equity interest and voting power		Principal activities
		2010	2009	
		%	%	
Lewek Everbright Shipping Pte Ltd	Singapore	–	100	Dormant
Emas Offshore Production Services (Vietnam) Pte Ltd*	Singapore	100	–	Investment holding

* *incorporated during the financial year.*

The subsidiaries are audited by Deloitte & Touche LLP, Singapore.

(b) Balances and transactions with subsidiaries

The amounts due from (to) subsidiaries are unsecured, interest-free and repayable on demand unless stated otherwise. These balances are expected to be settled in cash.

Transactions between the Company and its subsidiaries have been eliminated on consolidation and are not disclosed in these financial statements.

12 INVESTMENT IN ASSOCIATE

	Group	
	2010 US$'000	2009 US$'000
Unquoted equity shares, at cost	413	–
Deemed investment in associate	27,207	–
Total	27,620	–

12 INVESTMENT IN ASSOCIATE (Cont'd)

Details of the group's associate is as follow:

Name of associate	Country of incorporation and operation	Proportion of ownership interest and voting power held		Principal activity
		2010	2009	
		%	%	
PV KEEZ Pte Ltd	Singapore	41.3	–	Ship owner and provision of ship chartering services

The summarised financial information in respect of the Group's associate is set out below:

	2010 US$'000	2009 US$'000
Total assets	181,756	–
Total liabilities	(60,182)	–
	121,574	–
Less: Deemed capital contribution and redeemable preference shares classified as equity	(120,574)	–
Net assets	1,000	–
Group's share of associate's net assets	413	–
Revenue	–	–
Profit for the year	–	–
Group's share of associate's profit for the year	–	–

The associate is audited by Deloitte & Touche LLP, Singapore.

13 BANK LOANS

	Group 2010 US$'000	Group 2009 US$'000
Bank loan 1 (Note a)	8,500	10,000
Bank loan 2 (Note b)	34,656	42,781
Bank loan 3 (Note c)	136,800	144,000
Bank loan 4 (Note d)	9,950	8,950
Bank loan 5 (Note e)	7,954	9,196
Bank loan 6 (Note f)	12,125	13,625
Bank loan 7 (Note g)	22,506	25,153
Bank loan 8 (Note h)	28,000	34,000
Bank loan 9 (Note i)	17,500	22,500
Bank loan 10 (Note j)	60,000	60,000
Bank loan 11 (Note k)	2,538	3,205
Bank loan 12 (Note l)	–	5,000
Bank loan 13 (Note m)	2,845	–
Bank loan 14 (Note n)	19,530	–
Bank loan 15 (Note o)	1,308	–
Bank loan 16 (Note p)	7,744	–
Bank loan 17 (Note q)	20,000	–
Total	391,956	378,410
Presented as:		
Current	90,404	48,032
Non-current	301,552	330,378
Total	391,956	378,410

Loans due after one year are estimated to be repayable as follows:

	2010 US$'000	2009 US$'000
After one but within five years	221,120	227,497
After five years	80,432	102,881
Total	301,552	330,378

13 BANK LOANS (Cont'd)

Note a:

In 2009, bank loan 1 with principal of US$10,000,000 bore interest at 1.05% per annum above London Interbank Offer Rate ("LIBOR"). As at the end of the last financial year, the effective interest rate was 1.90% per annum. The loan was repayable within 90 days after 30 October 2009 and was secured by a corporate guarantee from a related party.

During the current financial year, the bank loan was re-financed by another loan of US$10,000,000 which bears interest at 2% per annum above the Bank's cost of funds. As at the end of the financial year, the effective interest rate is 3.30% per annum. The loan is repayable in 20 quarterly instalments of US$500,000 commencing 3 months after the drawdown date on 30 October 2009. The loan is secured by a full corporate guarantee from the Company and a US$4,500,000 corporate guarantee from a related party.

Note b:

Bank loan 2 with principal of US$80,000,000 bears interest at 1.30% per annum above LIBOR. As at the end of the financial year, the effective interest rate is 1.83% (2009 : 1.90%) per annum. The loan is repayable in 32 quarterly instalments of US$2,031,250 commencing 3 months after the final drawdown date and a final instalment of US$15,000,000. The final instalment of US$15,000,000 was prepaid on 31 March 2008.

The loan is secured by:

- First priority mortgage over the vessel of a subsidiary;
- First priority assignment of rights in relation to the charter and any earnings, insurance policies, requisition compensation and warranty and guarantees;
- Charge over project account including pledge over minimum liquidity account; and
- Corporate guarantee from the Company and a related party.

13 BANK LOANS (Cont'd)

Note c:

Bank loan 3 with principal of US$144,000,000 bears interest at 1.5% (2009 : 1%) per annum above LIBOR. The loan has been converted to a post-delivery loan during the financial year. As at the end of the financial year, the effective interest rate is 1.80% (2009 : 1.85%) per annum. The loan is repayable in 27 quarterly instalments of US$3,600,000 commencing from 27 May 2010 and a final instalment of US$46,800,000.

The loan is secured by:

- First legal mortgage over the vessel of a subsidiary;
- Assignment of all vessel's insurance policies, charter contracts and income and any other cash flows in respect of the vessel;
- Charge over all monies held in the operating account of the vessel and cash reserve account; and
- Corporate guarantee from the Company and a related party.

Additional repayment is required to reduce this loan balance to US75,000,000 within three months of the expiration of the charter contract if the charter contract is not extended beyond the initial contract period. Further additional repayment is required to reduce this loan to US$45,000,000 within three months of the expiration of the extension period of the charter if the charter contract is not extended beyond the extension period.

Note d:

Bank loan 4 with working capital facility of up to US$10,000,000 bears interest on a mutually agreed rate between the borrower and lender. As at the end of the financial year, the effective interest rate is 2.33% (2009 : 2.78%) per annum. The loan is secured by a corporate guarantee from the Company. Subsequent to the financial year end, this loan has been converted into a working capital facility of up to US$10,000,000, which bears interest at 2.5% per annum above LIBOR. The loan is repayable on or before 31 March 2012 and is secured by a corporate guarantee from the Company.

13 BANK LOANS (Cont'd)

Note e:

Bank loan 5 with principal of US$10,334,000 bears interest at 0.8% per annum above LIBOR. As at the end of the financial year, the effective interest rate is 1.33% (2009 : 1.34%) per annum. The loan was initially paid on monthly basis of US$103,500 for a period of two months commencing on 25 September 2008. Subsequently, the repayment profile was changed to 27 quarterly instalments of US$310,500 commencing on 9 January 2009 and a final instalment of US$1,743,572.

The loan is secured by:

- First legal mortgage over the vessel of a subsidiary;
- Assignment of the vessel's insurance, and all earnings arising from the vessel and rights and benefits under all charter contracts;
- Charge over all monies held in the operating account of the vessel; and
- Corporate guarantee from the Company.

Note f:

Bank loan 6 with principal of US$15,000,000 bears interest at 0.8% per annum above LIBOR. As at the end of the financial year, the effective interest rate is 1.33% (2009 : 1.34%) per annum. The loan was initially paid on monthly basis of US$125,000 for a period of two months commencing on 26 September 2008. Subsequently, the repayment profile was changed to 27 quarterly instalments of US$375,000 commencing on 9 January 2009 and a final instalment of US$4,625,000.

The loan is secured by:

- First legal mortgage over the vessel of a subsidiary;
- Assignment of the vessel's insurance, and all earnings arising from the vessel and rights and benefits under all charter contracts;
- Charge over all monies held in the operating account of the vessel; and
- Corporate guarantee from the Company.

13 BANK LOANS (Cont'd)

Note g:

Bank loan 7 with principal of US$26,476,750 bears interest at 1.25% per annum above LIBOR. As at the end of the financial year, the effective interest rate is 1.78% (2009 : 1.85%) per annum. The loan is repayable in 40 quarterly instalments of US$661,919 commencing three months after the final drawdown date on 28 January 2009.

The loan is secured by:

- First legal mortgage over the vessel of a subsidiary and all equipment and fixtures;
- Assignment of insurance policies;
- Assignment of all rights, titles and interest on the charter agreement; and
- Corporate guarantee from the Company.

Note h:

Bank loan 8 with principal of US$40,000,000 bears interest at 1.20% per annum above LIBOR. As at the end of the financial year, the effective interest rate is 1.47% (2009 : 1.47%) per annum. The loan is repayable in 4 yearly instalments of US$6,000,000 commencing on 20 July 2009 and a final instalment of US$16,000,000.

The loan is secured by:

- Second priority mortgage over the vessel of a subsidiary;
- Second assignment over rights, title and interest in connection with the charter earnings and insurance policies, requisition compensation and warranty and guarantees of the vessel of a subsidiary;
- Second charge over all monies held in project account of the vessel; and
- Corporate guarantee from the Company and a related party.

13 BANK LOANS (Cont'd)

Note i:

Bank loan 9 with principal of US$25,000,000 and a guarantee facility of up to US$13,000,000 bears interest at 1.05% per annum above LIBOR. As at the end of the financial year, the effective interest rate is 1.36% (2009 : 2.10%) per annum. The loan is repayable in 20 quarterly instalments of US$1,250,000 commencing on 26 May 2009.

The loan is secured by:

- Second priority mortgage over the vessel of a subsidiary;
- Second assignment of all vessel's insurance policies, charter contracts and income and any other cash flows in respect of the vessel;
- Second charge over all monies held in the operating account of the vessel and cash reserve account; and
- Corporate guarantee from the Company and a related party.

Note j:

Bank loan 10 with principal of US$60,000,000 bears interest at 0.75% per annum above LIBOR. As at the end of the financial year, the effective interest rate is 1.05% (2009 : 1.12%) per annum. The loan is repayable 3 years from the date of the first drawdown date on 29 May 2009.

The loan is secured by:

- Second priority mortgage over the vessel of a subsidiary together with assignment of its earnings and insurances;
- Third priority mortgage over the vessel of another subsidiary; and
- Corporate guarantee from the Company.

13 BANK LOANS (Cont'd)

Note k:

Bank loan 11 with principal of US$3,286,000 (equivalent to S$5,000,000) bears fixed interest at 5.00% per annum. The loan is repayable in 48 monthly instalments of S$115,147 commencing 1 month after the first drawdown date on 21 May 2009 and is secured by a corporate guarantee from the Company.

Note l:

In 2009, bank loan 12 with principal of US$5,000,000 bore interest at 2.50% per annum above Singapore Interbank Offer Rate ("SIBOR"). The loan was secured by corporate guarantees from subsidiaries and was repaid in full on 16 December 2009.

Note m:

Bank loan 13 with principal of US$3,469,000 (equivalent to S$5,000,000) bears fixed interest at 5.00% per annum. The loan is repayable in 48 monthly instalments of S$104,167 commencing 1 month after the first drawdown date on 18 September 2009 and is secured by a corporate guarantee from the Company.

Note n:

Bank loan 14 with working capital facility of up to US$20,000,000 bears interest at either 1.35% or 1.85% per annum above bank's cost of fund depending on the tenor of the working capital facility. As at the end of the financial year, the effective interest rate is 1.90% (2009 : Nil) per annum. The loan is jointly and severally liable by the Company and a subsidiary.

Note o:

Bank loan 15 with principal of US$1,420,000 (equivalent to S$2,000,000) bears interest at 5.00% per annum. The loan is repayable in 48 monthly instalments of S$46,059 commencing 1 month after the first drawdown date on 22 February 2010 and is secured by a corporate guarantee from the Company.

13 BANK LOANS (Cont'd)

Note p:

Bank loan 16 with principal of up to US$16,621,000 bears interest at 3.25% per annum above SIBOR. As at the end of the financial year, US$7,744,000 has been drawn with an effective interest rate of 3.79% per annum. The loan is repayable falling one month after the disbursement of the last progress payment or on 31 January 2011, whichever is earlier.

The loan is secured by:

- assignment of rights and benefits under the sales and purchase agreement on the acquisition of the asset financed by this loan and the disposal of the same asset to an associate; and
- corporate guarantee from the Company.

Note q:

Bank loan 17 with principal of US$20,000,000 bears interest at 2.75% per annum above SIBOR. As at the end of the financial year, the effective interest rate is 3.01% per annum. The loan is repayable on 31 December 2010 and is secured by a corporate guarantee from the Company and certain subsidiaries.

The management estimates that the fair value of the Company's bank loans approximates their carrying value as the borrowings bear interest at floating rates or approximate floating rates.

At the end of the financial year, the Group has available US$8,929,000 (2009 : US$53,000) of undrawn facilities in respect of which all conditions precedent had been met.

The above balances that are not denominated in the functional currencies of the respective entities are as follows:

	Group	
	2010 US$'000	2009 US$'000
Singapore Dollars	6,691	–

14 TRADE PAYABLES

	Group	
	2010 US$'000	2009 US$'000
Related parties (Note 5)	7,465	3,925
Outside parties	5,239	2,971
Total	12,704	6,896

Trade payables principally comprise amounts outstanding for trade purchases.

The average credit period on purchases of goods is 30 to 60 days (2009 : 30 to 60 days).

The above balances that are not denominated in the functional currencies of the respective entities are as follows:

	Group	
	2010 US$'000	2009 US$'000
Singapore Dollars	201	619
Malaysia Ringgit	295	182
Thai Baht	1,988	–
Others	23	16

15 OTHER PAYABLES AND ACCRUALS

	Group		Company	
	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
Subsidiaries (Note 11b)	–	–	31,563	32,024
Related parties (Note 5)	42,537	44,758	41,827	34,506
Outside parties	49,865	34,342	4,086	2,845
Others	448	708	–	–
Total	92,850	79,808	77,476	69,375
Presented as:				
Current liabilities	55,014	46,916	39,676	36,575
Non-current liabilities	37,836	32,892	37,800	32,800
Total	92,850	79,808	77,476	69,375

Included in payables to outside parties is an amount of US$49,082,000 (2009 : US$33,837,000), which comprise accruals for ship owner's insurance, capital expenditure on construction of vessels and operating expenses.

Included in the amount due to related parties of the Group and Company comprise of two tranches (2009 : one tranche) of loan payables amounting to US$37,800,000 (2009 : US$32,800,000) and US$37,800,000 (2009 : US$32,800,000) respectively.

(a) The first loan payable, with principal of US$32,800,000, bears interest at 1.5% per annum above LIBOR rate commencing on 1 June 2007. At the end of the financial year, the effective interest is 2.04% (2009 : 3.20%) per annum. The amount is unsecured and is not expected to be repaid within the next 12 months. The settlement is expected to be in cash.

(b) The second loan payable, with principal of US$5,000,000 bears fixed interest at 6.00% (2009 : Nil) per annum commencing on 1 October 2009. The amount is unsecured and is not expected to be repaid within the next 12 months. The settlement is expected to be in cash.

The management estimates that the fair value of the Group's and the Company's loan payables approximates their carrying value as the borrowings bear interest at floating rates or approximate floating rates.

In 2009, included in others was a deferred income of US$500,000 which represented receipt in advance from a customer.

15 OTHER PAYABLES AND ACCRUALS (Cont'd)

The above balances that are not denominated in the functional currency of the respective entities are as follows:

	Group		Company	
	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
Singapore Dollars	5,981	4,522	3	3
Malaysia Ringgit	239	12,773	–	–
Great Britain Pounds	4,656	504	–	–
Australian Dollars	4	21	–	–
Thai Baht	66	912	–	–
Others	14	17	13	–

16 SHARE CAPITAL

	Group and Company			
	2010	2009	2010	2009
	Number of ordinary shares		US$'000	US$'000
Issued and paid-up:				
At beginning and at end of the year	110,954,502	110,954,502	94,578	94,578

The Company has one class of ordinary shares with no par value. The holders of ordinary shares are entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions.

17 HEDGING RESERVES

Hedging reserve records the portion of the fair value changes on derivatives financial instruments designated as hedging instruments in cash flow hedges that is determined to be an effective hedge.

18 RESTRUCTURING DEFICIT

The restructuring deficit pursuant to a restructuring exercise completed in 2007, also known as merger reserve, represents the differences between the nominal value of shares issued by the Company in exchange for the nominal value of shares acquired in respect of the acquisition of subsidiaries under common control. During the restructuring exercise, Ezra Holdings Limited, the former holding company, transferred its interest in 5 subsidiaries to the Company. The transaction was financed through the issuance of 59,061,111 ordinary shares in the Company, with total acquisition cost of US$60,720,006. The Company had accounted for this combination using the "pooling of interest" method.

19 REVENUE

	Group	
	2010 US$'000	2009 US$'000
Chartering revenue	101,366	67,625
Construction revenue	11,967	4,030
Total	113,333	71,655

20 OTHER OPERATING INCOME

	Group	
	2010 US$'000	2009 US$'000
Management fee from an associate	550	–
Government grants - jobs credit scheme	51	50
Others	240	–
Total	841	50

21 OTHER OPERATING EXPENSES

	Group	
	2010 US$'000	2009 US$'000
Loss on fair value changes of derivative financial instruments	711	1,281
Foreign currency exchange loss	821	288
Total	1,532	1,569

22 FINANCE INCOME

	Group	
	2010 US$'000	2009 US$'000
Interest income from:		
Associate (Note 8 and 12)	1,062	–
Outstanding trade receivables	–	419
Banks	460	168
Total	1,522	587

23 FINANCE COSTS

	Group	
	2010 US$'000	2009 US$'000
Interest expense on bank loans	8,376	4,271
Interest expense charged by a related party (Note 5)	873	1,049
Total	9,249	5,320

24 INCOME TAX EXPENSE

	Group	
	2010 US$'000	2009 US$'000
Current year	1,474	334
Overprovision of current tax in prior years	(41)	(558)
Withholding tax	128	551
Total	1,561	327

Withholding tax relates to tax withheld on certain overseas revenue earned within South East Asia region and Australia for which no tax relief is available in Singapore as the income is tax exempt under Section 13A of the Singapore Income Tax Act.

No provision for tax has been made for the subsidiaries incorporated in the British Virgin Islands as the subsidiaries are tax exempt under the laws of the British Virgin Islands.

The total income tax for the year can be reconciled to the accounting profit as follows:

	Group	
	2010 US$'000	2009 US$'000
Profit before income tax	22,314	21,449
Tax at domestic income tax rate of 17%	3,793	3,646
Expenses not deductible for tax purposes	898	394
Tax exempted	(3,475)	(3,706)
Overprovision of current tax in prior years	(41)	(558)
Overseas withholding tax	128	551
Difference in overseas tax rate	258	–
Income tax expense	1,561	327

25 PROFIT FOR THE YEAR

Profit for the year has been arrived at after charging:

	Group	
	2010 US$'000	2009 US$'000
Employee benefits expenses	6,000	6,487
Cost of defined contribution plan expenses included in employee benefits expenses	248	196
Directors' fees	180	180
Total	6,428	6,863
Audit fees paid to Auditors of the Company	88	61
Fees for non-audit services paid to:		
Auditors of the Company	33	35
Other auditors	49	74

26 EARNINGS PER SHARE

Basic earnings per share amounts are calculated by dividing the profit attributable to equity holders of the Company by the weighted average number of ordinary shares outstanding during the financial year.

The calculation for basic and diluted earnings per share is based on:

	Group	
	2010	2009
Profit attributable to shareholders (US$'000)	20,753	21,122
Weighted average number of ordinary shares ('000)	110,955	110,955
Earnings per share (US cents)		
- Basic and diluted	18.70	19.04

There is no dilution as the Company does not have any outstanding share options or dilutive warrants.

27 OPERATING LEASE ARRANGEMENTS

a) The Group as lessee

The Group entered into leases for the rental of office premises and charter of vessels and equipments as a lessee. The term of the lease is up to two years, with an option to renew upon maturity. Operating lease payments recognised in the statement of comprehensive income during the financial year amounted to US$12,188,000 (2009 : US$5,508,000).

Future minimum lease payments payable under non-cancellable operating lease as at 31 August, are as follows:

	Group	
	2010 US$'000	2009 US$'000
Not later than one year	2,068	1,501
Later than one year but not later than five years	2,533	67
Total	4,601	1,568

b) The Group as lessor

The Group charters its vessels under operating leases. Charter revenue earned during the financial year was US$101,366,000 (2009 : US$67,625,000).

At the end of the financial year, the Group has contracted with third parties for the following future minimum lease receivable:

	Group	
	2010 US$'000	2009 US$'000
Within one year	90,791	76,510
In the second to fifth years inclusive	25,966	104,652
Total	116,757	181,162

28 SEGMENTAL INFORMATION

Reporting format

The Group determines its operating segments based on internal reports about components of the Group that are regularly reviewed by the chief operating decision maker in order to allocate resources to the segments and to assess their performance.

The Group's primary format for reporting segment information is business segments, with each segment representing a strategic business segment that offers different products and services, based on which information is prepared and reported to the Group's chief operating decision maker for the purposes of resource allocation and assessment of performance. In presenting information on the basis of geographical segments, segment revenue is based on the billing location of customers.

Segment accounting policies are the same as the policies described in Note 2 to the financial statements. The primary format, business segments, is based on the Group's management and internal reporting structure.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated items comprise mainly corporate assets, liabilities and expenses.

Inter-segment pricing, if any, is determined on an arm's length basis.

(a) Business Segments

The Group is organised into two main operating divisions, namely Construction division and Production division.

Construction division is mainly engaged in the owning, chartering and management of construction and accommodation units with or without pipelaying capabilities, in serving the oil and gas, exploration and production activities. Production division is mainly engaged in owning, chartering and management of production units, serving the oil and gas production activities.

28 SEGMENTAL INFORMATION (Cont'd)

(a) Business Segments (Cont'd)

The following table represents revenue and results information regarding the Group's business segments for the financial years ended 31 August 2010 and 2009:

	Construction		Production		Total	
	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
Revenue	50,796	71,655	62,537	–	113,333	71,655
Profit from operations	10,342	26,182	19,699	–	30,041	26,182
Allocated finance expenses	(3,312)	(4,271)	(3,570)	–	(6,882)	(4,271)
Unallocated finance expense					(2,367)	(1,049)
Interest income					1,522	587
Tax expense					(1,561)	(327)
Profit for the year					20,753	21,122

The following table presents assets, liabilities and other segment information regarding the Group's business segments for the financial years ended 31 August 2010 and 2009.

	Construction		Production		Total	
	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
Assets:						
Segment assets	210,501	195,299	362,030	–	572,531	195,299
Non-operating assets	–	–	–	313,089	–	313,089
Unallocated assets					81,096	90,390
Total assets					653,627	598,778
Liabilities:						
Segment liabilities	153,657	109,914	238,155	–	391,812	109,914
Non-operating liabilities	–	–	–	248,975	–	248,975
Unallocated liabilities					110,001	108,683
Total liabilities					501,813	467,572

28 SEGMENTAL INFORMATION (Cont'd)

(a) Business Segments (Cont'd)

	Construction		Production		Total	
	2010	2009	2010	2009	2010	2009
	US$'000	US$'000	US$'000	US$'000	US$'000	US$'000
Other information:						
Capital expenditure	186	4,096	13,410	103,705	13,596	107,801
Depreciation	8,482	8,048	14,907	–	23,389	8,048

Unallocated assets mainly represent cash and bank balances and related parties balances.

Unallocated liabilities mainly represent related parties balances and certain bank loans.

(b) Geographical segments

	Singapore		South East Asia		Others		Total	
	2010	2009	2010	2009	2010	2009	2010	2009
	US$'000	US$'000	US$'000	US$'000	US$'000	US$'000	US$'000	US$'000
Revenue:								
External sales	11,716	38,770	101,617	32,885	–	–	113,333	71,655
Assets:								
Segment assets	571,473	514,809	–	–	82,154	83,969	653,627	598,778
Capital expenditure	13,558	107,801	–	–	38	–	13,596	107,801

Notes:

(1) Revenue is based on the location of customers.
(2) South East Asia includes Brunei, Malaysia, Thailand and Philippines but excludes Singapore.
(3) Other countries includes the British Virgin Islands, Middle East region and Australia.
(4) Assets and capital expenditure are based on the location of the companies that own those assets.

28 SEGMENTAL INFORMATION (Cont'd)

(c) Information about major customers

For the financial year ended 31 August 2010, revenue from the group's largest customer per segment is as follows:

	Group 2010 US$'000	Group 2009 US$'000
Construction division:		
Customer 1	16,381	40,420
Customer 2	11,346	17,976
Production division	62,537	–

29 CAPITAL COMMITMENTS

		Group 2010 US$'000	Group 2009 US$'000
i)	Capital expenditure in respect of property, plant and equipment contracted but not provided for	–	26,636
ii)	Capital expenditure in respect of amounts committed for investment in an associate	34,380	–

30 CONTINGENT LIABILITIES

		Group		Company	
		2010 US$'000	2009 US$'000	2010 US$'000	2009 US$'000
(a)	Corporate guarantees given to banks for banking facilities granted to subsidiaries	–	–	372,426	364,407
	Corporate guarantee given to a supplier for payment performance	–	3,078	–	3,078
	Bank guarantee given to Inland Revenue Authority of Singapore for application of tax status	368	997	–	–
	Bank guarantees given to customers for service performance	8,798	–	–	–
	Corporate guarantee given to bank for banking facility granted to an associate company	8,000	–	8,000	–
	Corporate guarantee given to suppliers of an associate company for payment performance	22,417	–	22,417	–
	Total	39,583	4,075	402,843	367,485

(b) A subsidiary of the group has received certain claims from a supplier for non-payment on various invoices. The subsidiary has counterclaimed for missing assets and discrepancies in billing.

Certain information usually required by IAS 37 – *Provisions, Contingent Liabilities and Contingent Assets* is not disclosed because the matter is proceeding for trial. Based on legal advice received and information presently available, the Group is of the view that it has grounds to make claims and resist the counterclaim.

STATEMENT OF DIRECTORS

In the opinion of the directors, the consolidated financial statements of the Group and the statement of financial position and statement of changes in equity of the Company as set out on pages 47 to 111 are drawn up so as to give a true and fair view of the state of affairs of the Group and of the Company as at 31 August 2010, and of the results, changes in equity and cash flows of the Group and changes in equity of the Company for the financial year then ended and at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts when they fall due.

ON BEHALF OF THE BOARD OF DIRECTORS

Lee Kian Soo

Wang Kai Yuen

Singapore
Date: 22 November 2010

STATEMENT OF DIRECTORS AND EXECUTIVE MANAGEMENT

(in accordance with the Nonwegian Securities Trading Act)

In the opinion of the directors and the executive management,

(i) the consolidated financial statements of the Group and the statement of financial position and statement of changes in equity of the Company as set out on pages 47 to 111 are drawn up in accordance with the provision of the Singapore Companies Act, Cap. 50 and International Financial Reporting Standards so as to give a true and fair view of the state of affairs of the Group and of the Company as at 31 August 2010, and of the results, changes in equity and cash flows of the Group and changes in equity of the Company for the financial year then ended.

(ii) the management information set out in this Annual Report include a true and fair review of information required under the Norwegian Securities Trading Act Section 5-5 second paragraph.

ON BEHALF OF THE DIRECTORS

Lee Kian Soo
(Chairman)

ON BEHALF OF THE EXECUTIVE MANAGEMENT

Lim Kwee Keong
(Chief Executive Officer)

Singapore
Date: 22 November 2010

STATISTIC OF

SHAREHOLDINGS

AS AT 10 DECEMBER 2010

TWENTY LARGEST SHAREHOLDERS AS AT 10 DECEMBER 2010

NAME	No. of Shares	Percentage (%)	Citizenship
EZRA HOLDINGS LIMITED	52,480,239	47.30	SGP
BANK OF AMERICA MERRILL LYNCH	10,844,596	9.77	GBR
FRED.OLSEN PRODUCTION PTE.LTD	5,455,000	4.92	SGP
ODIN OFFSHORE	5,440,000	4.90	NOR
HYGROVE INVESTMENTS LIMITED	4,827,400	4.35	HKG
STATE STREET BANK AND TRUST CO.	4,121,500	3.71	USA
BANK OF NEW YORK MELLON SA/NV	3,662,132	3.30	BEL
ODIN MARITIM	2,213,000	1.99	NOR
EUROCLEAR BANK S.A./N.V. ('BA')	2,137,000	1.93	BEL
JP MORGAN CLEARING CORP.	2,114,527	1.91	USA
NORDEA BANK DENMARK AS	2,000,000	1.80	DNK
KOMMUNAL LANDSPENSJONSKASSE	980,000	0.88	NOR
J.P MORGAN CAZENOVE	970,191	0.87	GBR
KLAVENESS INVEST AS	750,000	0.68	NOR
RBC DEXIA INVESTOR SERVICES BANK	658,800	0.59	LUX
CLEARSTREAM BANKING S.A.	651,868	0.59	LUX
KLP AKSJE NORGE VPF	639,500	0.58	NOR
VPF NORDEA SMB	581,000	0.52	NOR
ABN AMRO GLOBAL CUSTODY N.V.	577,000	0.52	NLD
DNB NOR LUXEMBOURG SA	484,000	0.44	LUX
	101,587,753	91.55	
OTHERS	9,366,749	8.45	
TOTAL	110,954,502	100.00	

NOTICE OF
ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the Annual General Meeting of EOC Limited ("the Company") will be held at 15 Hoe Chiang Road, #15-01, Tower Fifteen, Singapore 089316 (Boardroom) on Friday, 14 January 2011 at 4.00 p.m. (Singapore time) for the following purposes:

AS ORDINARY BUSINESS

1. To receive and adopt the Directors' Report and the Audited Accounts of the Company for the financial year ended 31 August 2010 together with the Auditors' Report thereon. **(Resolution 1)**

2. To re-elect the following Directors retiring pursuant to Article 91 of the Company's Articles of Association: -

Mr Lee Chye Tek Lionel	(Retiring under Article 91)	**(Resolution 2)**
Mr Cuthbert Ignatious Jeyaretnam Charles	(Retiring under Article 91)	**(Resolution 3)**

3. To approve the payment of Directors' fees of US$180,000 for the financial year ending 31 August 2011. **(Resolution 4)**

4. To re-appoint Deloitte & Touche LLP, Singapore as the Company's Auditors and to authorise the Directors to fix their remuneration. **(Resolution 5)**

5. To transact any other ordinary business which may properly be transacted at an Annual General Meeting.

AS SPECIAL BUSINESS

To consider and if thought fit, to pass the following resolutions as Ordinary Resolutions, with or without any modifications:

6. **Share Issue Mandate**

That authority be and is hereby given to the Directors of the Company to:

(a) subject to paragraph (b) of this Ordinary Resolution:

(i) issue ordinary shares in the capital of the Company ("**Shares**") whether by way of rights, bonus or otherwise; and/or

(ii) make or grant offers, agreements or options (collectively, "**Instruments**") that might or would require Shares to be issued, including but not limited to the creation and issue of (as well as adjustments to) warrants, debentures or other instruments convertible into Shares and (notwithstanding that the authority conferred in sub-paragraph (a)(ii) of this Ordinary Resolution may have ceased to be in force) issue Shares in pursuance of any Instrument made or granted by the Directors while this Ordinary Resolution was in force,

at any time and upon such terms and conditions and for such purposes and to such persons as the Directors may in their absolute discretion deem fit;

(b) provided that:

(i) the aggregate number of Shares to be issued to new shareholders pursuant to this Ordinary Resolution does not exceed ten per cent. (10%) of the issued share capital of the Company (as calculated in accordance with subparagraph (iii) below);

(ii) the aggregate number of Shares to be issued on a pro-rata basis to existing shareholders of the Company does not exceed fifty per cent. (50%) of the issued share capital of the Company (as calculated in accordance with sub-paragraph (iii) below);

(iii) the percentage of outstanding share capital shall be based on the outstanding share capital of the Company at the time this Ordinary Resolution is passed, after adjusting for:

(1) new Shares arising from the conversion or exercise of any convertible securities or share options which are outstanding or subsisting at the time this Ordinary Resolution is passed; and

(2) any subsequent consolidation or subdivision of Shares;

(iv) in exercising the authority conferred by this Ordinary Resolution, the Company shall comply with the regulations of Oslo Bors ASA (the "**OSX**") or any other stock exchange on which the Shares are quoted or listed and such other regulatory authorities as may be necessary, as well as the Articles of Association for the time being of the Company;

(v) (unless revoked or varied by the Company in general meeting) the authority conferred by this Ordinary Resolution shall continue in force until the conclusion of the annual general meeting commencing next after the date on which the approval is given, or the expiry of the period when the next annual general meeting is required by law to be held; and

(c) the Directors be and are hereby authorised to do any and all acts which they deem necessary and expedient in connection with paragraphs (a) and (b) above. **(Resolution 6)**

The Ordinary Resolution 6 proposed in item 6 above, if passed, will empower the Directors from the date of this Meeting until the date of the next Annual General Meeting, or the date by which the next Annual General Meeting is required by law to be held, or when revoked or varied by the Company in general meeting, to issue shares in the Company. The number of shares that may be issued under this resolution on a pro-rata basis to existing shareholders of the Company would not exceed fifty per cent. (50%) of the issued share capital of the Company at the time of the passing of this resolution. For the issue of shares to new shareholders, the aggregate number of shares to be issued shall not exceed ten per cent. (10%) of the issued share capital of the Company at the time of the passing of this resolution.

7. **Renewal of Share Buyback Mandate**

That:

(a) for the purposes of the Companies Act (Chapter 50) of Singapore, the Directors be authorised and empowered to purchase or otherwise acquire the ordinary shares in the capital of the Company ("**Shares**") not exceeding in aggregate the Prescribed Limit (as hereafter defined), at such price(s) as may be determined by the Directors of the Company from time to time up to the Maximum Price (as hereafter defined), whether by way of:

(i) on-market purchases ("**Market Purchase**"), transacted on the OSX through the OSX's trading system or, as the case may be, any other stock exchange on which the Shares may for the time being be listed and quoted, through one or more duly licensed stockbrokers appointed by the Company for the purpose, conducted in a manner complying with the Norwegian Securities Trading Act regarding buy-back programs; and/or

(ii) off-market purchases ("**Off-Market Purchase**") (if effected otherwise than on the OSX) in accordance with an equal access scheme(s) as may be determined or formulated by the Directors as they may consider fit, which scheme(s) shall satisfy all the conditions prescribed by the Companies Act and the regulations of the OSX and the Norwegian Securities Trading Act or any other stock exchange on which the Shares are quoted or listed,

(the "**Share Buyback Mandate**").

(b) unless varied or revoked by the Company in general meeting, the authority conferred on the Directors of the Company pursuant to the Share Buyback Mandate may be exercised by the Directors at any time and from time to time during the period commencing from the passing of this Resolution and expiring on the earlier of:

(i) the date on which the next annual general meeting of the Company ("**AGM**") is held or required by law to be held;

(ii) the date on which the share buybacks are carried out to the full extent mandated; or

(iii) the date on which the authority contained in the Share Buyback Mandate is varied or revoked;

(c) in this Resolution:

"**Prescribed Limit**" means 10% of the issued ordinary share capital of the Company as at the date of passing of this Resolution unless the Company has effected a reduction of the share capital of the Company in accordance with the applicable provisions of the Companies Act, at any time during the Relevant Period, in which event the issued ordinary share capital of the Company shall be taken to be the amount of the issued ordinary share capital of the Company as altered (excluding any treasury shares that may be held by the Company from time to time);

"**Relevant Period**" means the period commencing from the date on which the last AGM was held and expiring on the date the next AGM is held or is required by law to be held, whichever is the earlier, after the date of this Resolution; and

"**Maximum Price**" in relation to a Share to be purchased, means an amount (excluding brokerage, stamp duties, applicable goods and services tax and other related expenses) not exceeding:

(i) in the case of a Market Purchase : Not more than 10% discount from the Average Closing Price ;

(ii) in the case of an Off-Market Purchase ::Not more than 10% discount from the Highest Last Dealt Price, where

"**Average Closing Price**" means the average of the closing market prices of a Share over the last five market days, on which transactions in the Shares were recorded, preceding the day of the Market Purchase, and deemed to be adjusted for any corporate action that occurs after the relevant 5-day period;

"**Highest Last Dealt Price**" means the highest price transacted for a Share as recorded on the market day on which there were trades in the Shares immediately preceding the day of the making of the offer pursuant to the Off-Market Purchase; and

"**day of the making of the offer**" means the day on which the Company announces its intention to make an offer for the purchase of Shares from shareholders of the Company stating the purchase price (which shall not be more than the Maximum Price calculated on the foregoing basis) for each Share and the relevant terms of the equal access scheme for effecting the Off-Market Purchase; and

(d) the Directors of the Company be and are hereby authorised to complete and do all such acts and things (including executing such documents as may be required) as they may consider expedient or necessary to give effect to the transactions contemplated by this Resolution. **(Resolution 7)**

The Ordinary Resolution 7 proposed in item 7 above, if passed, will empower the Directors from the date of this Meeting until the date of the next Annual General Meeting, or the date by which the next Annual General Meeting is required by law to be held, or when revoked or varied by the Company in general meeting, or when share buybacks are carried out to the full extent mandated, to purchase its issued shares.

By Order of the Board

David Tan Yew Beng
Company Secretary

Singapore, 16 December 2010

Notes:

1. A member of the Company ("Member") entitled to attend and vote at the Annual General Meeting (the "Meeting") and who wishes to:

   (a) be present in person to vote; or
   (b) appoint a proxy or proxies to be present in person to vote in his stead,

   at the Meeting should notify DnB NOR Bank ASA (using Annexure 1) in either 1 of the 3 methods mentioned below, as soon as possible after receipt of this Notice of the Meeting but no later than 96 hours before the time appointed for holding the Meeting, to obtain a Power of Attorney in connection with voting at the Meeting:

   Method 1

   P.O. Box address (if mailing):

   DnB NOR Bank ASA
   Registrars Dept./ Mr. Kjetil Giil Berg
   0021 Oslo
   Norway

Method 2

Street address (if by courier):
DnB NOR Bank ASA
Registrars Dept./ Mr. Kjetil Giil Berg
Stranden 21
0021 Oslo
Norway

Method 3

If by fax (to DnB NOR Bank ASA):

To fax number: +47 22 94 90 20

2. A Member entitled to attend and vote at the Meeting is entitled to appoint not more than two proxies to attend and vote in his stead. A proxy need not be a Member of the Company.

3. If a Member does not wish to be present in person to vote, or to appoint a proxy or proxies to be present in person to vote in his stead, at the Meeting, the Member may vote through DnB NOR Bank ASA by lodging or returning the Proxy Form in either 1 of the 3 methods mentioned below not less than 96 hours before the time appointed for holding the Meeting:

Method 1

P.O. Box address (if mailing):

DnB NOR Bank ASA
Registrars Dept./ Mr. Kjetil Giil Berg
0021 Oslo
Norway

Method 2

Street address (if by courier):
DnB NOR Bank ASA
Registrars Dept./ Mr. Kjetil Giil Berg
Stranden 21
0021 Oslo
Norway

Method 3

If by fax (to DnB NOR Bank ASA):

To fax number: +47 22 94 90 20

4. A corporation which is a member of the Company may, by resolution of its directors, authorise any person to act as its representative at any meetings of the Company, and such representative shall be entitled to exercise the same powers on behalf of the corporation which he represents as if he had been an individual member of the Company.

PROXY FORM

EOC Limited
Proxy Solicited on behalf of the Board of Directors of the Company for
Annual General Meeting on Friday, 14 January 2011

The undersigned hereby authorise DnB NOR Bank ASA to constitute and appoint the Chairman of the meeting, his true and lawful agent and proxy with full power of substitution in each, to represent the undersigned at the Annual General Meeting of shareholders of EOC Limited, to be held at the following venue: 15 Hoe Chiang Road, #15-01, Tower Fifteen, Singapore 089316 (Boardroom) on Friday, 14 January 2011 at 4.00 p.m. (Singapore time) and at any adjournments thereof, on all matters coming before said meeting.

Please mark your preferred choice by a "X" in one of the boxes on each item.

Item 1: Resolution relating to the Directors' Report and Audited Accounts for the financial year ended 31 August 2010

FOR	AGAINST	ABSTAIN

Item 2: Resolution relating to the re-election of Mr Lee Chye Tek Lionel as Director

FOR	AGAINST	ABSTAIN

Item 3: Resolution relating to the re-election of Mr Cuthbert Ignatious Jeyaretnam Charles as Director

FOR	AGAINST	ABSTAIN

Item 4: Resolution relating to the payment of Directors' fees of US$180,000 for the financial year ending 31 August 2011

FOR	AGAINST	ABSTAIN

Item 5: Resolution relating to the re-appointment of Deloitte & Touche LLP as the Company's Auditors and to authorise the Directors to fix their remuneration

FOR	AGAINST	ABSTAIN

Item 6: Resolution relating to the Share Issue Mandate

FOR	AGAINST	ABSTAIN

Item 7: Resolution relating to the renewal of the Share Buyback Mandate

FOR	AGAINST	ABSTAIN

Signature(s)______________________________ Date:______________

Note: Please sign exactly as name appears above. Joint owners should each sign. When signing as attorney, executor, administrator or guardian, please give full title as such.

Name of shareholder in block letters:______________________________

For a total of______________________ shares.

ANNEXURE 1

If you wish to attend the Annual General Meeting, please give such notice to DnB NOR Bank ASA, attention Mr. Kjetil Giil Berg, phone no (+47) 22 48 12 17, fax no (+47) 22 94 90 20 not later than 96 hours before the time appointed for holding the Meeting.

The undersigned, holder of ______________________________ shares in EOC Limited, will attend the Annual General Meeting in person.

Date	Signature*	Name in block letters

PROXY

The undersigned hereby appoint

Name of proxy holder	Name proxy holder in block letters

With full powers of substitution, to represent the undersigned at the EOC Limited's Annual General Meeting to be held on Friday, 14 January 2011, to vote all shares that the undersigned would be entitled to vote if personally present, on all items in accordance with the agenda of the Annual General Meeting.

Date	Signature*	Name in block letters

Your signed proxy is to be received by
DnB NOR Bank ASA, attention Mr. Kjetil Giil Berg, Verdipapirservice,
0021 Oslo, Norway – Fax no (+47) 22 94 90 20
not later than 96 hours before the time appointed for holding the Meeting

* If signing as attorney, executor, administrator, trustee or guardian, please give your title as such.
If the signer is a corporation, please sign in the full corporate name by duly authorised officer.



EOC LIMITED

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